

ANNUAL REPORT 2016–2017



Welcome

Welcome to the QRAA Annual Report for 2016-17.

QRAA is a statutory authority of the Queensland Government established under the *Rural and Regional Adjustment Act 1994* (Qld) (the Act), reporting to the Minister for Agriculture and Fisheries and Minister for Rural Economic Development.

We will be known as the Queensland Rural and Industry Development Authority (QRIDA) from 1 July 2017. We support regional Queensland and provide specialist financial administrative services to the Queensland Government, Australian Government and state and territory governments throughout Australia.

This report highlights QRAA's 2016-17 achievements, performance and financial position.

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Interpreter service statement

As a Queensland Government entity, we are committed to providing accessible services to all Queenslanders from culturally and linguistically diverse backgrounds. If you have difficulty in understanding the Annual Report, you can contact us on Freecall 1800 623 946 and we will gladly arrange an interpreter to effectively communicate this report to you.



Public availability and feedback

A copy of this Annual Report and a checklist outlining our completion of the annual reporting requirements can be accessed at www.qrida.qld.gov.au/annual-report.

For further information or to provide feedback on this report, please contact us:

Telephone: Freecall 1800 623 946
Email: contact_us@qrida.qld.gov.au
Facsimile: (07) 3032 0300
Mail: QRIDA
GPO Box 211
Brisbane QLD 4001

To the Minister

15 September 2017

The Honourable Bill Byrne MP
Minister for Agriculture and Fisheries, Minister for Rural Economic Development
GPO Box 46
Brisbane QLD 4001

Dear Minister

I am pleased to present the QRAA Annual Report for 2016-2017. This report summarises the organisation's activities, corporate achievements and financial position for 2016-17, its final year as QRAA.

The Report has been endorsed by the QRIDA Board of Directors as an accurate representation of the organisation's performance for 2016-17 and is compliant with:

- the prescribed requirements of the *Rural and Regional Adjustment Act 1994* (Qld), the *Financial Accountability Act 2009* (Qld) and the *Financial and Performance Management Standard 2009* (Qld).
- the detailed requirements set out in the Annual Report Requirements for Queensland Government agencies, as published by the Department of Premier and Cabinet.

A checklist outlining QRAA's compliance can be found at page 52 of this Annual Report or accessed at www.qrida.qld.gov.au/annual-report.

Yours sincerely,

Wayne Carlson
Chair

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Chief Executive Officer's report

Organisation highlights

When the 2016-17 Queensland State Budget was announced, QRAA was asked to do more for rural and regional Queensland. I'm extremely proud of the effort and dedication our people have invested in response, and what we have delivered.

In this time, we:

- almost doubled the amount of lending approved to Queensland producers under the Primary Industry Productivity Enhancement's Scheme, from \$64 million in 2015-16 to over \$116 million in 2016-17
- established the Farm Management Grants program to assist farming families with rural succession
- assisted primary producers, small businesses and non-profit organisations across Queensland to recover from Severe Tropical Cyclone Debbie
- secured 10 new fee-for-service arrangements, generating revenue of over \$2 million.

This was all achieved while carrying out demanding preparations for our transformation to the Queensland Rural and Industry Development Authority in 2017-18.

In total, we approved over \$268.7 million in loans, grants, rebates and subsidies across Queensland industry, from taxi licence holders to commercial fishers. Of this, \$116.4 million was in Productivity Loans to our traditional market of primary producers – an increase of 87 per cent from the previous year.

A significant driver in this increase is the Queensland Government's decision to lift the maximum lending amount available under First Start and Sustainability Loans from \$650,000 to \$2 million and \$1.3 million respectively. This change came into effect in October 2016, increasing the scheme's relevance in the current landscape of Queensland agriculture and has allowed more primary producers to invest on a larger scale.

Another highlight of the year was the establishment of our ninth regional office in Cloncurry, dedicated to servicing the North West and Gulf. Established in March 2017 and officially opened by the Chair, Wayne Carlson in May 2017, the new office increases our front-line services and means producers in this important agricultural region have localised service and better access to our financial assistance and programs.

During this period of significant change we would like to recognise the support received from the Department of Agriculture and Fisheries, our industry allies (such as AgForce, Queensland Farmers' Federation and Canegrowers) and the major agricultural banks. We share with these organisations a common goal of making Queensland's rural industries both strong and sustainable, and their help in working with our clients to overcome the challenges of succession, droughts and cyclones is invaluable.

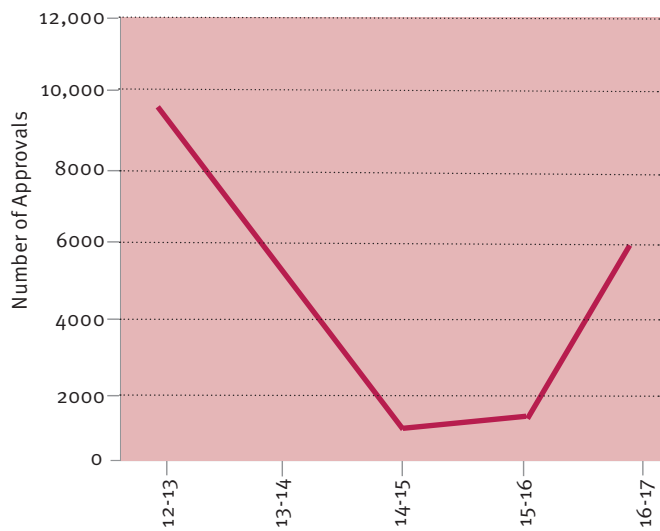
I'm pleased that our organisation's final year as QRAA has seen so many achievements, and so much done for Queenslanders. As the Queensland Rural and Industry Development Authority, from 1 July 2017, we look forward to carrying out our new functions while building on QRAA's 23 year history, experience and passion for service to regional Queensland in both good and challenging times.



Cameron MacMillan
Chief Executive Officer

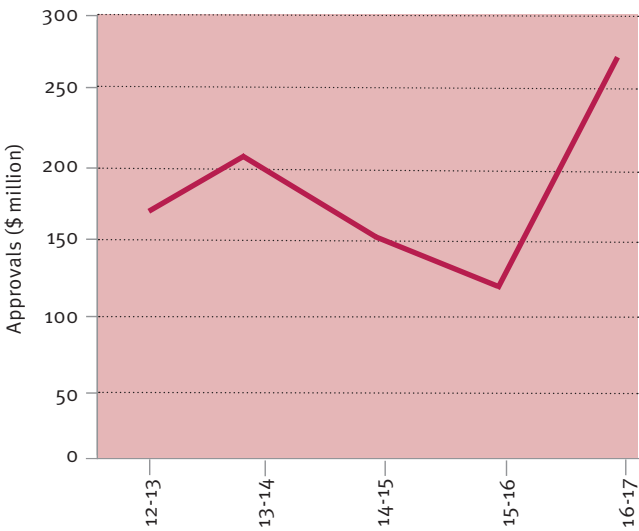
Five year snapshot

Applications approved



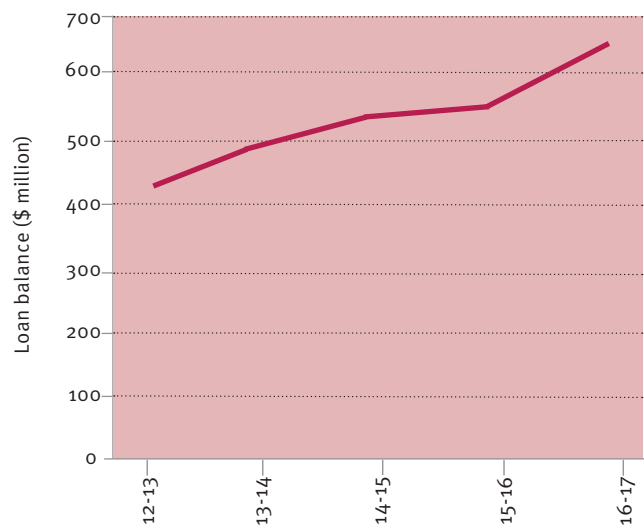
Number of loan and grant approvals as at 30 June each year.

Program approvals



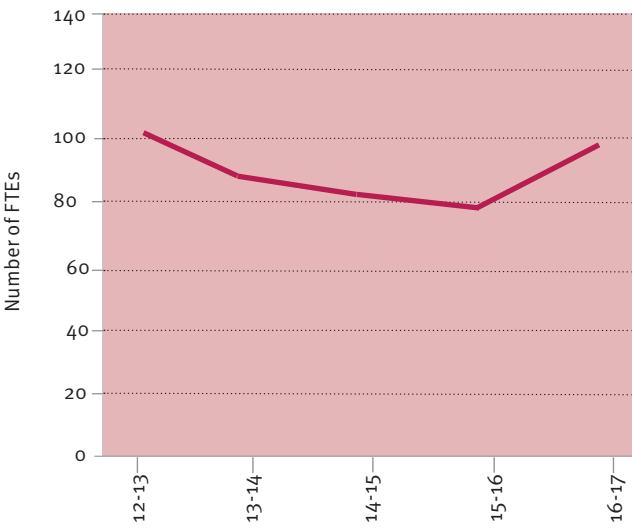
Total value of assistance approved as at 30 June each year.

Loan Register



Current loan balance (all open loans) as at 30 June each year.

Staffing



Full time equivalent (FTE) of QRAA employees as at 30 June each year.

About us

Who we are

QRAA is a statutory authority of the Queensland Government, established under the *Rural and Regional Adjustment Act 1994* (Qld) (the Act), reporting to the Minister for Agriculture and Fisheries and Minister for Rural Economic Development.

What we do

QRAA is a specialist administrator of government financial assistance programs including loans, grants, rebates and subsidies.

Our core responsibility is to administer the Queensland Government's Primary Industry Productivity Enhancement Scheme (PIPES) and when required, support the delivery of Natural Disaster Relief and Recovery Arrangements (NDRRA) assistance for primary producers, small businesses and non-profit organisations (jointly funded by the Queensland and Australian Governments). The *Rural and Regional Adjustment Act 1994* (Qld) also enables us to deliver additional programs and services throughout Australia for local, state and federal government bodies.

Through performing these services we are committed to supporting the Queensland Government's objectives for the community – see page six for more information on how we actively contribute.

Our vision

Working to three strategic priorities – sustainable growth, service excellence and business capability – we aim to be the preferred provider of financial assistance programs across government. Our 2016-17 achievements against these objectives can be found on pages 14 and 15 of this report.

Our values

Throughout 2016-17, QRAA's operations were governed by our commitment to four core values. We are:

- dedicated to our stakeholders
- committed to excellence
- united, agile, honest and fair
- creating value for Queensland.

Our future

From 2017-18, our organisation will have a bigger part to play in the growth of Queensland's rural and regional industries.

As a result of the *Farm Business Debt Mediation Act 2017* (Qld), assented to in March 2017, we will be known as the Queensland Rural and Industry Development Authority from 1 July 2017 and in future reporting periods. We have been granted a number of new functions including:

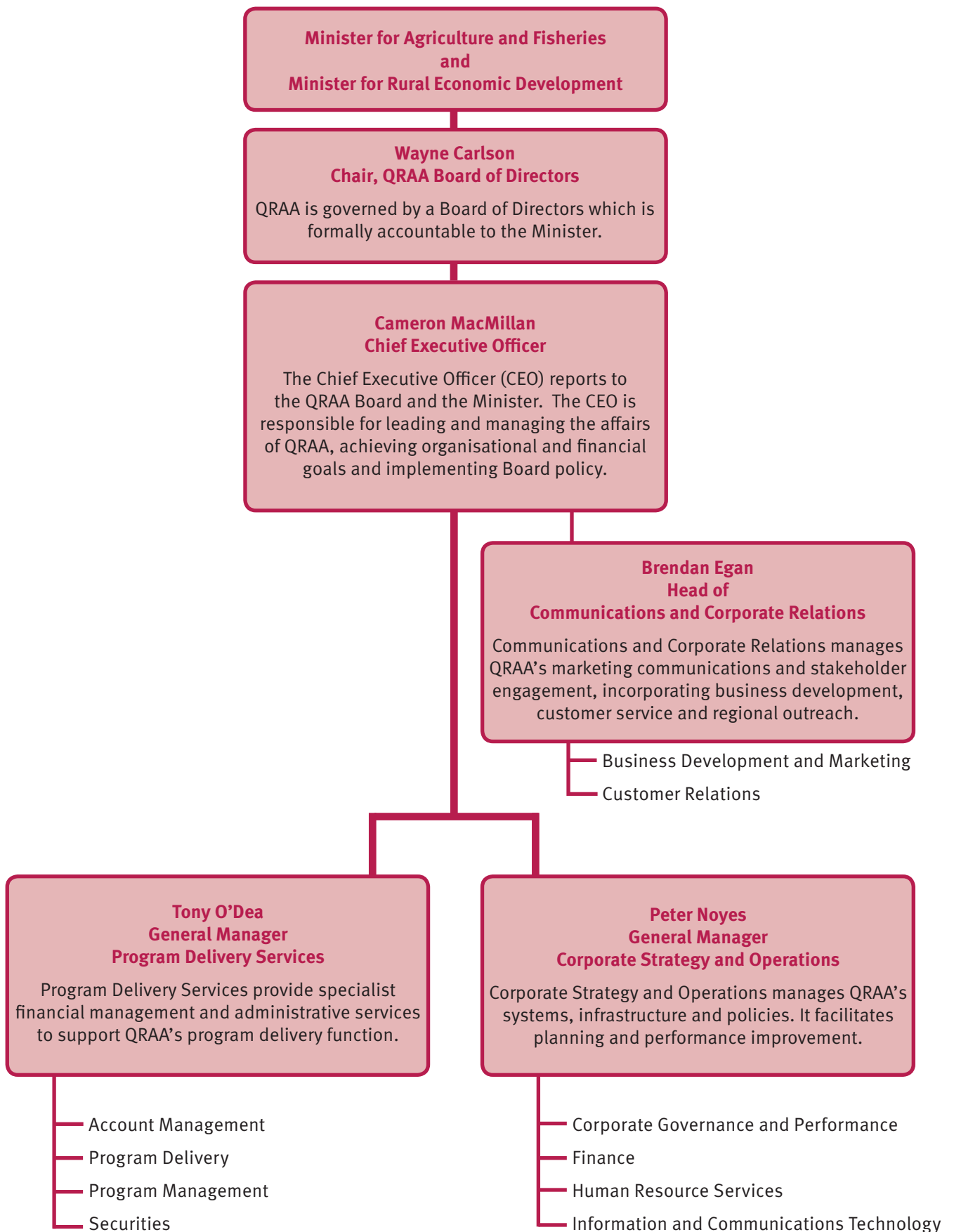
- overseeing Queensland's new mandatory Farm Business Debt Mediation program
- establishing the Office of Farm Debt Restructure
- undertaking research to develop policies, initiatives and advice for government
- recommencing Queensland's biennial Rural Debt Survey.

Building on QRAA's proud 23 year history, this expanded role brings our organisation new ways to support Queensland, as well as new strategic risks, opportunities and challenges. These changes to our operating environment will be detailed in our 2017-2021 Strategic Plan.

How we contributed to Government objectives for the community

Objective: creating jobs and a diverse economy - Increasing workforce participation - Ensuring safe, productive and fair workplaces - Stimulating economic growth and innovation - Delivering new infrastructure and investment	How QRAA contributed: - Productivity loans funded the establishment and expansion of Queensland primary production enterprises, the key source of jobs and income in many regional communities - Delivered farm management grants for farm succession planning to help facilitate generational change and productivity of Queensland primary production enterprises - Delivered financial assistance to support the taxi and limousine industry in Queensland to transition to a more competitive market.
Objective: delivering quality frontline services - Achieving better education and training outcomes - Strengthening our public health system - Providing responsive and integrated government services - Supporting disadvantaged Queenslanders	How QRAA contributed: - Provided an online grant application portal for natural disaster and farm management grants improving service and access for clients - Expanded our regional service network establishing our ninth office based in Cloncurry covering the North West and Gulf region - Deployed additional field staff to affected areas following Severe Tropical Cyclone Debbie providing face to face support to businesses applying for disaster recovery assistance - Worked with Department of Agriculture and Fisheries and the Department of Communities, Child Safety and Disability Services to form integrated support hubs following Severe Tropical Cyclone Debbie.
Objective: protecting the environment - Protecting the Great Barrier Reef - Conserving nature and heritage - Ensuring sustainable management of natural resources - Enabling responsible development	How QRAA contributed: - Delivered productivity loans that supported Best Management Practice, sustainable land-use, water and energy efficiency and other initiatives - Delivered the Commonwealth-funded Drought Assistance Concessional Loans, encouraging improved drought preparation and land management.
Objective: building safe, caring and connected communities - Ensuring an accessible and effective justice system - Providing an integrated and reliable transport network - Encouraging safer and inclusive communities - Building regions	How QRAA contributed: - Strengthened regional economies through funding the establishment, improvement and drought-support of primary producers - Assisted in the recovery of our regions following Severe Tropical Cyclone Debbie and associated flooding.

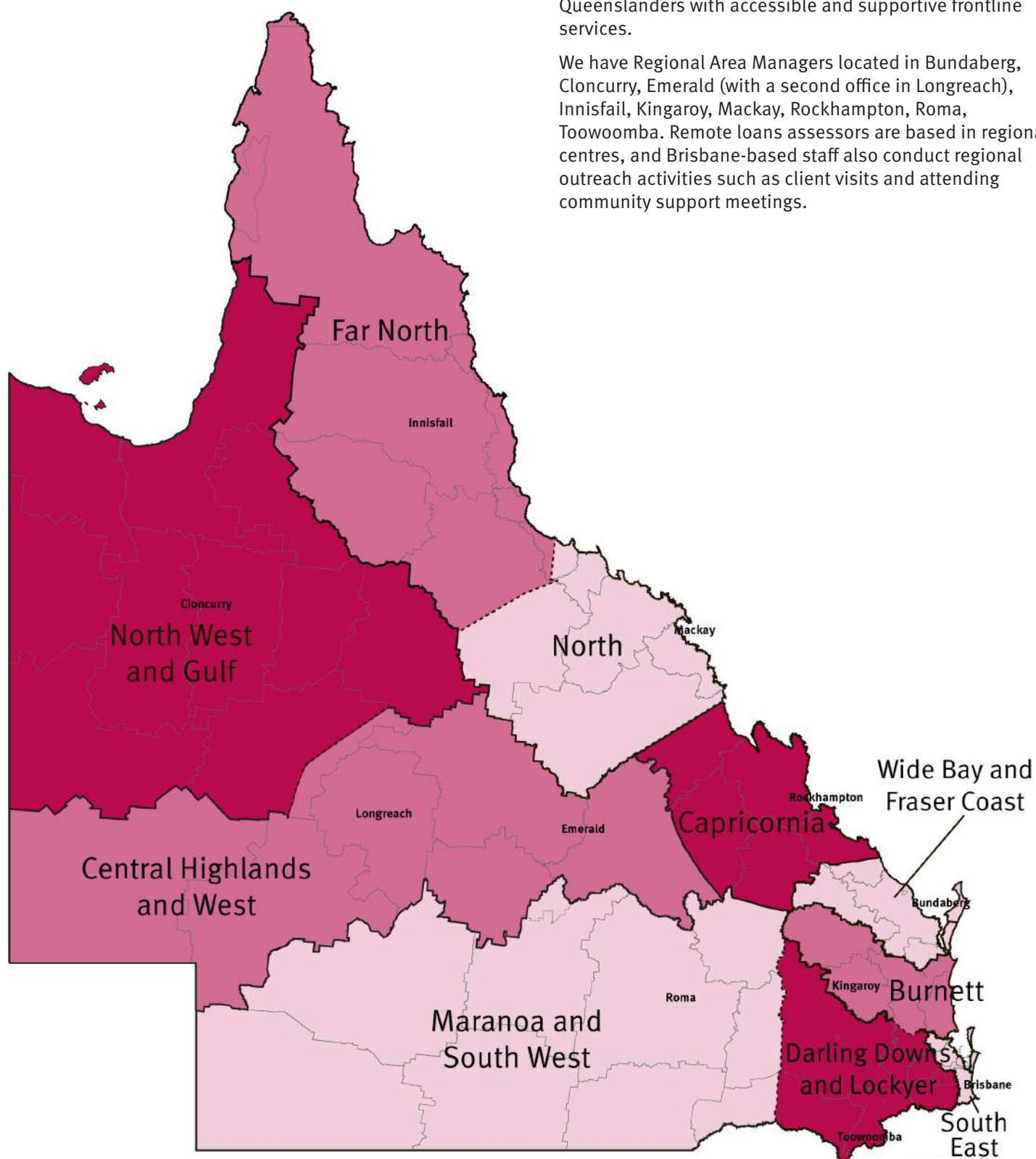
Organisational structure



Regional service

From our administrative base in Brisbane to regional offices across the state, QRAA is committed to providing Queenslanders with accessible and supportive frontline services.

We have Regional Area Managers located in Bundaberg, Cloncurry, Emerald (with a second office in Longreach), Innisfail, Kingaroy, Mackay, Rockhampton, Roma, Toowoomba. Remote loans assessors are based in regional centres, and Brisbane-based staff also conduct regional outreach activities such as client visits and attending community support meetings.



Corporate governance

Board of Directors

QRAA's Board of Directors (the Board) is responsible for the way QRAA performs its functions and exercises its powers as established in the *Rural and Regional Adjustment Act 1994* (Qld).

The Board consists of seven directors including representatives from Queensland industry as well as the Queensland Department of Agriculture and Fisheries (QDAF) and Queensland Treasury.

Directors are appointed for a term no longer than three years. This appointment can end at any time as directed by the Governor in Council. A director is appointed on a part-time basis and is entitled to the remuneration and allowances fixed by the Governor in Council.

The Board is formally accountable to the Minister for Agriculture and Fisheries and Minister for Rural Economic Development. During 2016-17, the Board reported to the Minister on a quarterly basis.

Under the Act, the Board must meet at least once every three months. The QRAA Board of Directors met seven times during 2016-17. Achievements of the Board in this time include:

- contributing to the development and approving the four year QRAA strategic plan
- approving six operational, administrative and financial policies
- ensuring QRAA performed its functions properly, effectively and efficiently
- completing the annual performance review of the CEO.

Board committees

The Board has two sub-committees that support its decision-making. These are the Audit and Risk Management (A&RM) Committee and the Remuneration Committee.

Audit and Risk Management Committee

The A&RM Committee consists of three directors with the QRAA Chair and CEO attending as ex-officio members. The Committee met five times during 2016-17.

The Committee undertook independent reviews during 2016-17 to improve QRAA's operations and outputs and advised the QRAA Board on:

- financial statements
- risk management
- internal controls
- performance management
- internal and external audit
- compliance
- reporting.

Remuneration Committee

The Remuneration Committee includes two directors and meets on an annual basis, with the QRAA CEO attending as an ex-officio member.

Position	Name	Meetings/ Sessions/ attendance	Approved annual, sessional or daily fee	Approved sub-committee fees if applicable	Actual Fees Received
Chair	Wayne Carlson [^]	13/13	\$42,000	\$1,700 (A&RM Committee)	\$43,700
Director	Warwick Agnew*	10/12	QLD Treasury Representative	QLD Treasury Representative	-
Director	Christopher Hood	5/6	\$12,000	-	\$11,400
Director	Georgina Somerset	6/6	\$12,000	-	\$11,400
Director	Dugald Warby	10/12	\$12,000	\$1,700 (A&RM Committee)	\$13,700
Director	Elton Miller* [^]	7/8	QDAF Representative	QDAF Representative	-
Director	Belinda Turner [^]	13/13	\$12,000	\$1,700 (A&RM Committee)	\$13,700
Director	Zoe Kenneally	1/1	\$12,000	-	\$0**
Director	Leith Bouilly	0/1	\$12,000	-	\$0**

Number of meetings scheduled including Sub Committee meetings: 13

Total out of pocket expenses: \$11,708.29 (this consists of mileage allowances (\$8,605.49) and accommodation for the evening prior to Board /Sub Committee Meeting (\$3,102.80).

*No fees are paid to Queensland Government representatives

** Directors Bouilly and Kenneally have not received any fees in 2016-17 due to their appointment taking effect in June 2017. Payments will be backdated for the one scheduled meeting on 27 June 2017.

[^] Directors Carlson, Turner and Miller comprised the Remuneration Committee, for which no fees are payable.

Corporate governance (cont.)

Measuring performance

Organisational performance goals and strategic targets are established as a result of the Board's strategic planning and budgeting processes and are subject to endorsement by the Minister.

Organisational performance is monitored and reported against strategies and performance indicators set out in QRAA's Strategic Plan.

Refer to pages 14-15 for a summary of QRAA's 2016-17 performance.

Risk management

QRAA's risk management framework is aligned to AS/NZS/ISO 31000:2009 Risk Management Standard which provides guidance to staff to implement risk management practices and facilitate an active and high-performing risk management culture.

A risk management reference group, comprised of representatives of QRAA's business units, assists and supports the Senior Executive Team (SET) and the A&RM Committee maintain an integrated risk management approach to:

- promote and further develop the risk management framework and act as risk champions to foster a culture of risk awareness and management
- review and consider the requirements and issues raised applicable to legislation, standards and guidelines
- effectively manage, monitor and review risk exposures and treatments
- promote emergency and business continuity management preparedness
- review fraud and corruption management practices and controls
- identify emerging risks and opportunities and develop appropriate action plans to manage those risks and opportunities.

Strategies that supported successful risk management in 2016-17 included:

- management of the QRAA strategic and operational risk register, incorporating the status of risk treatments (reviewed quarterly by SET, A&RM Committee and the Board)
- implementation and reinforcement of the principles of QRIDA's risk management framework and risk management guidelines and tools to improve accessibility and enhance employee engagement
- developed Program Risk Management methodology to identify, manage and report on risks to significant new project initiatives

- developed further strategies to enhance people, asset and information security risks
- annual testing of QRIDA's emergency and business continuity management preparedness.

Internal audit

Crowe Horwath were appointed in 2016 to deliver internal audit services for the next three financial years. This internal audit function assisted QRAA in achieving strategic goals by providing an independent review of identified areas.

The reviews undertaken in 2016-17 included:

- Pricing Methodology
- Loan Management Administration
- Financial Health Check – budget process, payroll and Flexipurchase system

All final reports were considered by the A&RM Committee.

Outcomes of these reviews highlight QRAA's commitment to providing value for money and transparency in our decision making, while the recommendations confirm QRAA's adoption of better practice in administration.

External scrutiny

QRAA was not subject to external scrutiny or reviews in 2016-17.

Ethical standards

QRAA requires all directors, managers and employees to act with integrity and objectivity and to maintain high standards of ethical behaviour in the execution of their duties.

The QRAA Code of Conduct requires officers to:

- act with integrity and impartiality, ensuring high standards of workplace behaviour and personal conduct
- promote the public good through excellence in customer service, community engagement and working with other agencies
- commit to the system of government through conscientious service to QRAA and Government
- act with accountability and transparency to support high standards of administration.

All new appointees to QRAA provide a statement indicating that they have read and understood the QRAA Code of Conduct. Every second year all staff acknowledge their understanding of the Code of Conduct and responsibilities as an ongoing reinforcement of ethical standards. This acknowledgement process was last completed in 2015-16. All QRAA policies and procedures are referenced to the Code of Conduct

Corporate governance (cont.)

and are made available to staff via the QRAA intranet. Internal communications support ongoing awareness, understanding and compliance.

To support the QRAA Code of Conduct and to further strengthen connectivity with the *Public Sector Ethics Act 1994* (Qld), QRAA continued to strengthen this commitment by also reviewing and enhancing policies relating to fraud and corruption practices and public interest disclosure policies.

Policy framework

During 2016-17, QRAA continued to focus on the development and review of its corporate policies and procedures in line with a three-year cyclical work plan. This ensured ongoing connectivity with legislation and government directives, audit outcomes and best practice.

Policies and procedures approved by the Board and SET are made available on the QRAA intranet and implemented with the support of education and training, monitoring and review mechanisms.

During 2016-17, a total of nine policies, procedures, and frameworks were developed, reviewed and approved.

Information systems and recordkeeping

Information systems and recordkeeping are managed in accordance with the *Public Records Act 2002* (Qld) and other key information standards, policies and guidelines that form the Queensland Government Recordkeeping Policy Framework.

During 2016-17, key activities to support the ongoing achievement of compliance included:

- commencing the implementation of the Electronic Document Records Management System (EDRMS) for the management of corporate records
- commencing development of a complimentary digitisation plan and procedures to support the digitisation of both corporate and client records
- continuing on-going recordkeeping training and change management sessions for staff readiness for the new system
- implementing a number of paper-lite initiatives to support the reduced overall floor space as a result of the office relocation
- implementing recordkeeping compliance requirements relating to the launch of an online application portal and a new credit card management system
- maintained the retention and disposal program of both client and corporate records in accordance with the Queensland Government General Retention and Disposal Schedule.

During 2016-17, corporate and client records were managed appropriately in accordance with Queensland Government security requirements and relevant standards. There were no security breaches of the authority's information.

Development commenced on rebuilding QRAA's existing loans and grants system (RAPID) which manages the client activity for application of loans and grants. A project, adopting the Agile Project Management approach, is enhancing the system in accordance with a prioritised list of business requirements. Significant achievements to date include the enhancement of the online portal where clients can submit their applications directly to the system for a range of grant programs.

Open data

Details of QRAA's constancies are published through the Queensland Government's Open Data website (www.data.qld.gov.au).

QRAA did not engage in any overseas travel in 2016-17.

QRAA is committed to providing accessible services to Queenslanders from all culturally and linguistically diverse backgrounds. The Department of Immigration and Citizenship's National Translating and Interpreting Service was utilised twice in 2016-17.

Right to information

The *Right to Information Act 2009* (Qld) (RTI Act) is the Queensland Government's approach to providing the community with access to information controlled by the Government.

QRAA supports the principles of the RTI Act by operating in an open, transparent and accountable manner while protecting the privacy of clients and staff.

QRAA provides access to information in accordance with the legislation, as well as publishing available information on the QRAA website.

During 2016-17, QRAA received one new request for access to information in accordance with the RTI Act. Given the nature of the information, QRAA was not required to provide a disclosures log.

Information privacy

The *Information Privacy Act 2009* (Qld) (IP Act) gives all members of the public a legally enforceable right to access and amend their personal information. The IP Act also requires QRAA to safeguard the personal information it holds and only disclose such information to the individual that the information relates to, or where consent has been provided or where required and authorised under law.

During 2016-17, QRAA did not process any requests for personal information in accordance with the IP Act.

Corporate governance (cont.)

Work health and safety

QRAA is committed to providing a work environment that is conducive to protecting the health, safety and well-being of QRAA workers and visitors to the workplace. QRAA is bound by the *Work Health and Safety Act 2011* (Qld) (WHS Act), *Work Health and Safety Regulation 2011* (Qld) and relevant Codes of Practice.

In applying due diligence in compliance with the WHS Act, QRAA conducts quarterly Health and Safety committee meetings and outcomes include the updating of procedures and forms as well as the procurement of necessary equipment that supports the safe workplace environment.

In 2016-17, following the move to new premises at Santos Place all staff undertook refresher training on building and evacuation processes. New employees were informed about the WHS Act and QRAA Work Health and Safety Policies and Procedures through induction programs.

QRAA's Human Resource Services unit has an active workplace rehabilitation and return to work system that assists injured or ill employees to return to work in mutually beneficial arrangements. In 2016-17 QRAA's rehabilitation caseload has remained at traditionally low levels with no significant expense or lost cases under management.

Influenza vaccinations were again offered to all staff prior to the onset of winter, with 49 staff members participating in the program.

QRAA workforce profile

QRAA staff provide a strong foundation for the effective administration of financial assistance programs.

QRAA's staffing levels and resources are highly flexible and are maintained at optimal levels, appropriate to business need.

As at 30 June 2017, QRAA employed 97.68 full-time equivalent (FTE) staff, a minor change from the 2016-17 adjusted budget of 92 FTE staff. A comparative breakdown of staff numbers is shown below.

The permanent officer separation rate for this period was 7.69 per cent. The permanent officer retention rate was 92.31 per cent.

QRAA employees by employment type (as at 30 June 2017)

	2015-16	2016-17	MOVEMENT
Permanent	69.85	72.35	↑
Temporary	9.6	24.33	↑
Casual	0	1	↑
Total (FTE)	79.45	97.68	↑

QRAA employees (as at 30 June 2017)

	2015-16	2016-17	MOVEMENT
Management (Ao7 and above)	14	16	↑
Professional (Ao5/6/7)	44.48	51.38	↑
Administrative (to Ao4)	20.97	30.3	↑
Total (FTE)	79.45	97.68	↑

Engagement

Every two years, QRAA conducts an employee satisfaction survey conducted by an independent specialist survey provider. The results of these surveys inform and guide our employee satisfaction action plans across QRAA. In the 2017 satisfaction survey we achieved an overall satisfaction rate of 84.9 per cent, exceeding the target of 80 per cent.

Recruitment

Minimal permanent officer turnover occurred. External recruitment activity in 2016-17 related to the customary turnover of staff and for temporary projects or business development purposes.

The voluntary turnover rate for this period was 9.41 per cent. This is an excellent result in the context of a year which has included considerable organisational change and program delivery. This turnover rate demonstrates a positive impact from QRAA's employee retention and engagement strategies, enabling us to retain talent and intellectual property.

In 2016-17, QRAA continued to recruit interns with a financial and rural focus as part of our succession planning strategy. This strategy has bolstered QRAA's diversity and created a pipeline of talent for the future.

QRAA workforce profile (cont.)

Early Retirement, Redundancy and Retrenchment

No redundancy, retrenchment or early retirement packages were paid during this period.

Professional development

QRAA is committed to managing employee performance and conduct as well as developing our employees' capabilities. QRAA's performance and development process commences in July each year.

During 2016-17 QRAA's Human Resource Services implemented a new performance management system which captures and measures the outcomes of both formal and informal performance conversations. This contemporary online performance approach focuses on achieving deliverables against key performance indicators and behavioural competencies, as well as matching employee training and development to business requirements and QRAA's strategic direction. The introduction of the system, together with tailored performance management training has provided a strong foundation for QRAA's performance culture into the future.

In 2016-17, many staff undertook skill development programs related to their field of expertise via tailored training courses, on-line programs, and external tertiary studies. QRAA also recognises the importance of on-job learning and has continued to support and encourage staff rotations, relief arrangements, and secondment opportunities.

QRAA continued the highly successful 'Emerging Leaders' training program run by the Australian Institute of Management (AIM) by initiating similar training titled 'Leadership Exploration and Development (LEAD)' for our key influencers and emerging leaders. The program provided skills and knowledge for the participants who, as a result, have committed to applying their learnings to support ongoing leadership development at individual, team and organisational levels.

Industrial and employee relations

QRAA transitioned to a new whole-of-government public sector award as a result of the modernisation process undertaken by the Queensland Industrial Relations Commission.

QRAA's consultative employee relations framework provided a mechanism to successfully address any employee concerns during this process. No formal concerns or grievances were received during the year.

The award transition process has created an ongoing policy and procedure review process to ensure QRAA's employee relations practices remain contemporary and compliant with modern industrial relations.

Agile, flexible and healthy workforce

QRAA values its staff and strives to support quality work-life balance, with a suite of available options for staff to alter their working arrangements while maintaining a high level of service.

At the close of the 2016-17 financial year 28 per cent of employees were participating in formal flexible working arrangements including working from home, part-time, job share and transition to retirement strategies. The majority of QRAA staff also access informal flexible working arrangements including compressed working weeks and flexitime arrangements.

QRAA's Wellness Program is now in its second year and continues to provide avenues for employees to access seminars, lifestyle advice, healthy eating and drinking advice, preventative health education and awareness sessions, and sporting/fitness programs.

QRAA's 84.9 per cent staff satisfaction score is considered to be a strong indicator of the effectiveness of QRAA's workforce flexibility and wellness programs.

Strategic workforce plan

The purpose of QRAA's current three-year Workforce Plan, which commenced in August 2014, is to provide a pathway for QRAA to achieve a flexible and agile workforce that can meet current and future work demands with regards to program management and QRAA's changing operational environment. Each year strategies and activities are developed to provide a full suite of human resource services and organisational development initiatives to enable the business to deliver on its strategic direction.

A new Workforce Plan is due to be implemented in the 2017-18 financial year.

Innovation

In 2016-17 QRAA commenced a strategy to formally embed Innovation permanently into the values and culture of the organisation. This included wide-ranging employee consultation, and specific mechanisms to capture and evaluate innovation ideas.

Looking ahead

As the Queensland Rural and Industry Development Authority, our Human Resource Services will increasingly focus on organisational improvement activities and initiatives, as well as continuing to review employment arrangements, capability strategies, workforce planning initiatives, succession strategies and staff engagement. Together these strategies will continue to ensure appropriate human resource capability is in place to meet workloads associated with existing programs, new functions, emerging business opportunities and future natural disaster events.

Organisational performance summary

Our priorities	Our objectives	Performance indicators
1. Sustainable Growth	Increase business viability	Revenue growth in administration* Net operating margin in administration*
	Continue to be a proactive partner in the delivery of government assistance	Timely response to Natural Disaster Recovery and Relief Arrangements (NDRRA) activations Percentage of applications processed within agreed service delivery timeframes Productivity loan approved amount
	Proactively secure new business	Number of new business opportunities secured
	Support program owners to evaluate scheme achievement by establishing pre-defined and measurable performance indicators for each scheme	Percentage of schemes with pre-defined performance indicators
2. Service Excellence	Continuously improve the quality and timeliness of service delivery to meet the needs of our stakeholders	Level of stakeholder satisfaction with service delivery Continual improvement to achieve best practice for management of grants and loans
	Demonstrate leadership within government for the delivery of innovative financial solutions	Level of stakeholder satisfaction with administration of financial assistance programs managed on their behalf
3. Business Capability	Organisational efficiency and performance	Benefits realised from technology and innovation projects
	Effective corporate governance frameworks to demonstrate service delivery and decision making models	Compliance with governance frameworks
	Ensure our ability to respond to a diverse range of business opportunities	Staff Readiness Scale
	Engender a professional and engaged workforce	Workforce Plan improvement projects delivered within agreed timeframes

* Section 24 of the *Rural and Regional Adjustment Act 1994* (Qld) requires QRIDA to submit an administration budget to the Minister each year, which forms a component of the consolidated financial statements.

2016-17 target/ estimate	2016-17 actual		Commentary	2017-18 Target/ Estimate
\$14,433,800	\$14,872,567	✓	The administration* revenue target for 2016-17 was exceeded.	\$16,435,327
-\$5,027,587	-\$628,556	✓	Due to higher revenue and lower expenditure (\$3.4 million) a reduced administration* deficit was incurred. The lower expenditure is primarily due to the Compass Project of previous years being replaced with the lower cost RAPID renovation project and additional staff positions being progressively filled during the year.	\$1,192,702
100%	100%	✓	All NDRRA schemes for Severe Tropical Cyclone Debbie were opened within the target of 48 hours from activation.	#
85%	99%	✓	QRAA's high service standards were again strengthened this year with target service delivery timeframes well exceeded.	#
\$100 million	\$116.4 million	✓	The initial target of \$100 million under the Primary Industry Productivity Enhancement Scheme was met in early 2017. Further funding was secured and a revised target of \$120 million was set.	#
4	10	✓	QRAA secured 10 new fee for service arrangements this year, generating revenues of over \$2 million for 2016-17	#
85%	100%	✓	Predefined performance indicators were developed and in place for all schemes administered in 2016-17.	#
80%	83%	✓	The client satisfaction survey was conducted in May 2017. Targets were exceeded.	#
80%	100%	✓	A formal review was completed at the close of each grant or loan scheme administered in 2016-17, capturing best practice for adoption in future programs.	#
75%	90%	✓	The Program Owner Perception Survey was conducted between May and July 2017. Targets were exceeded.	#
90%	NA	NA	In 2016-17, no technology related initiatives were completed to a point where benefits could be measured.	#
Timeframes achieved	Timeframes achieved	✓	Compliance with governing frameworks, policies and plans for risk management, internal audit and delegations was met.	#
90%	88%	✗	QRAA has not yet formalised a Learning and Development Framework. Of the nine factors that comprise the Staff Readiness Scale, this is the only factor that is not on or above target.	#
100%	100%	✓	All initiatives scheduled for 2016-17 were completed. The plan and activities continue to be reviewed and rationalised.	#

Due to change in organisational role and responsibilities which are taking effect from 1 July and the timings of the change, targets will be determined by 30 September 2017 and published in the new Strategic Plan.

Service delivery portfolio

Program Owner	Program	Purpose of Program/Scheme
Productivity Enhancement		
Queensland Government	First Start 2010*	Provide loans at concessional rates of interest to an applicant in the first years of establishment of a primary production enterprise in Queensland.
	Sustainability 2010*	Provide concessional loans to primary producers to implement systems and management practices that enhance sustainable primary production in Queensland.
Natural Disaster		
Australian and Queensland Governments (<i>Natural Disaster Relief and Recovery Arrangements</i>)	Natural Disaster Assistance Scheme Individually Disaster Stricken Properties	Assist in meeting the recovery needs of primary producers affected by isolated disaster events outside of declared local government areas.
	Natural Disaster Assistance Scheme Tropical Cyclone Marcia*	Assist primary producers, small businesses and non-profit organisations pay for costs arising out of direct damage.
	Special Disaster Assistance Scheme Tropical Cyclone Marcia*	Assist primary producers, small businesses and non-profit organisations pay for costs arising out of direct damage.
	Natural Disaster Assistance Scheme Tropical Cyclone Debbie	Assist primary producers, small businesses and non-profit organisations pay for costs arising out of direct damage.
	Natural Disaster Recovery Grants Scheme Tropical Cyclone Debbie	Assist primary producers, small businesses and non-profit organisations pay for costs arising out of direct damage.
Farm Finance Concessional Loan Scheme		
Australian Government	Farm Finance Concessional Loan Scheme (Queensland)	Assist build the ongoing financial resilience of Queensland farm businesses.
Northern Territory Government	Farm Finance Concessional Loan Scheme (Northern Territory)	Assist build the ongoing financial resilience of Northern Territory farm businesses.
Drought and Drought Recovery		
Australian Government	2014-15 Drought Concessional Loan Scheme (Queensland)	Assist Queensland farm businesses that are experiencing a significant financial impact as a result of the effects of drought.
	2015-16 Drought Concessional Loan Scheme (Queensland)	Assist Queensland farm businesses that are experiencing a significant financial impact as a result of the effects of drought.
	2014-15 Drought Recovery Concessional Loan Scheme (Queensland)	Assist drought affected farm businesses in need of financial assistance, including those affected by the mid-2011 imposed disruption to live cattle exports.
	2015-16 Drought Recovery Concessional Loan Scheme (Queensland)	Assist drought affected farm businesses in need of financial assistance, including those affected by the mid-2011 imposed disruption to live cattle exports.
	2016-17 Drought Assistance Concessional Loan Scheme (Queensland)	Loans to assist drought affected farm businesses in Queensland continue to operate though drought conditions, recover once the season breaks and prepare for future droughts.
	2016-17 Drought Assistance Concessional Loan Scheme (Northern Territory) ^	Loans to assist drought affected farm businesses in the Northern Territory continue to operate though drought conditions, recover once the season breaks and prepare for future droughts.
Adjustment		
Queensland Government	Net-Free Fishing Zones - Impact Alleviation Scheme	Provide financial assistance to the commercial fishers most affected by the introduction of the net-free fishing zones.
	Net-Free Fishing Zones - Licence Buyback Scheme	Licence buyback to offset impact on eligible commercial fishers after the introduction on the net-free zones.
	Net-Free Fishing Zones - Settlement Scheme	Provides payments to assist commercial fishers in transitioning their business following the establishment of the net-free fishing zones
	2016 Net Fishing Buyback Scheme	Licence buyback to reduce the potential for commercial net fishing to increase in other areas and fisheries following the establishment of the net-free fishing zones in Cairns, Mackay and Rockhampton.
Other		
Queensland Government	Queensland Government Hendra Virus Personal Protective Equipment Rebate Scheme	Assist in offsetting the purchase price of prescribed personal protective equipment (PPE) for eligible veterinary surgeons who may be at significant risk of being exposed to the Hendra virus
	Queensland Cattle Industry Biosecurity Fund	Support the delivery of assistance schemes in response to disease outbreaks affecting the Queensland cattle industry.
	Bovine Johne's Disease Assistance Scheme	Assist eligible applicants who have suffered financial loss because of the slaughter of cattle, or alternative supply actions affecting cattle, related to the occurrence of bovine Johne's disease in Queensland.
	Translink Transitional Assistance Payments Scheme	This component of the Industry Adjustment Assistance Package assists the Queensland Taxi and limousine industries transition to a new regulatory framework by providing payments to help eligible licence holders adjust to the changes.
	Translink Industry Hardship Assistance Scheme	This component of the Industry Adjustment Assistance Package assists the Queensland Taxi and limousine industries transition to a new regulatory framework by providing payments to eligible licence holders and operators experiencing hardship as a result of the changes.
	Farm Management Grants Scheme	Assist primary producers or interested persons who have received eligible professional advice from a suitable qualified adviser by providing rebates of up to 50 per cent of the amount paid.

Figures are accurate as at 30 June 2017.

Support Available	Application approvals				
	2015-16 (No.)	2016-17(No.)	2015-16 (\$)	2016-17 (\$)	Variance (\$)
Maximum loan amount of \$2,000,000	80	106	\$31,423,569	\$63,112,585	Up
Maximum loan amount of \$1,300,000	106	151	\$30,195,066	\$53,319,052	Up
Loan up to \$250,000	1	-	\$71,000	-	Down
Loan up to \$250,000 for primary producers and small businesses and a loan/grant package of up to \$105,000 for non-profit organisations	3	-	\$152,500	-	Closed
Grants up to \$25,000	671	-	\$8,264,892	-	Closed
Loan up to \$250,000 for primary producers and small businesses and a loan/grant package of up to \$105,000 for non-profit organisations	-	15	-	\$1,025,285	New
Grants up to \$25,000	-	881	-	\$5,190,632	New
Loan less than 50% of eligible debt to a maximum of \$1,000,000	2	-	\$511,00	-	Closed
Loan less than 50% of eligible debt to a maximum of \$1,000,000, with a minimum of \$100,000	1	-	\$1,000,000	-	Closed
Loan up to 50% of eligible debt to a maximum of \$1,000,000	6	-	\$2,215,678	-	Closed
Loan up to 50% of eligible debt to a maximum of \$1,000,000	40	30	\$27,108,450	\$20,599,495	Closed
Loan up to 50% of eligible debt to a maximum of \$1,000,000	4	-	\$445,000	-	Closed
Loan up to 50% of eligible debt to a maximum of \$1,000,000	21	29	\$9,033,850	\$11,358,250	Closed
Loan up to 50% of eligible debt to a maximum of \$1,000,000	-	55		\$33,106,818	New
Loan up to 50% of eligible debt to a maximum of \$1,000,000	-	-		-	New
Payment of prescribed amounts to eligible holders of particular commercial fisher licences.	30	-	\$1,500,018	-	Closed
Payment of prescribed amounts for the surrender of relevant licences and fishery symbols.	27	-	\$3,318,000	-	Closed
Payment is a prescribed amount per net-free zone, multiplied by the fishing effort of the eligible licence holder in the net-free zone.	87	1	\$1,026,500	\$100,000	Closed
Payment of prescribed amounts for the surrender of relevant licences and fishery symbols.	-	19		\$2,614,000	Closed
a) Rebate of \$250 for each eligible veterinary surgeon employed in a veterinary practice for the initial purchase of prescribed PPE; and b) Rebate of \$250 for the purchase of prescribed PPE payable after an approved test of a suspected Hendra virus infection sample has been completed	113	13	\$199,943	\$17,904	Closed
Administer and manage fund	-	-	-	-	NA
Grant to a combined maximum of \$200,000 under the direct market assistance, supply chain pathway assistance and short term quarantine assistance components of the scheme	16	-	\$835,459	-	Closed
Payments to eligible licence holders as follows: - \$20,000 per taxi service licence (capped at 2 per licence holder) - \$10,000 per limousine service licence (other than special purpose limousines with no licence cap).	-	2480	-	\$59,730,000	Closed
Amounts of assistance under the scheme are: - \$9,000 for a taxi service licence; and - \$4,500 for a limousine service licence	-	2125	-	\$19,176,750	New
Rebate of 50 per cent of the amount paid for the advice, up to a maximum of \$2,500 for each official receipt and up to a maximum total amount of \$2,500 per financial year.	-	46	-	\$83,457	New

* 2015-16 figures have been amended to reflect cancellations and adjustments that occurred during 2016-17.
^ This program was open for applications in 2016-17 but none were received.

Queensland Rural and Industry Development Authority

Financial Statements

for the year ended 30 June 2017

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For information in relation to QRIDA's financial statements, please call 07 3032 0100 or contact_us@qrida.qld.gov.au or visit www.qrida.qld.gov.au.

Queensland Rural and Industry Development Authority

Statement of Comprehensive Income

for the year ended 30 June 2017

	Notes	2017 Actual \$'000	2017 Original Budget \$'000	Budget Variance* \$'000	2016 Actual \$'000
Income from Continuing Operations					
Grants	3	102,948	12,170	90,778	28,287
Fees	4	2,746	2,307	439	1,479
Interest	5	35,968	34,562	1,406	36,599
Bad debt recovery		696	-	696	-
Other revenue		8	12	(4)	9
Total Revenue		142,366	49,051	93,315	66,374
Gains on borrowings received at greater than fair value	13.1, 14.1 & 14.2	1,187	907	280	2,874
Gain on impairment reversal	10.3	877	-	877	470
Gain on disposal of plant and equipment		272	-	272	-
Total Income from Continuing Operations		144,702	49,958	94,744	69,718
Expenses from Continuing Operations					
Employee expenses	6	9,930	11,746	(1,816)	9,384
Supplies and services	7	5,355	7,380	(2,025)	3,371
Grants and subsidies		86,418	1,000	85,418	15,558
Depreciation and amortisation	11&12	217	339	(122)	815
Loss on loans issued at greater than fair value	10.4	17,608	12,933	4,675	6,745
Impairment losses		-	2,134	(2,134)	-
Finance/borrowing costs	8	11,729	12,953	(1,224)	17,138
Total Expenses from Continuing Operations		131,257	48,485	82,772	53,011
Operating Result from Continuing Operations		13,445	1,473	11,972	16,707
Operating Result for the Year		13,445	1,473	11,972	16,707
Total Comprehensive Income		13,445	1,473	11,972	16,707

The accompanying notes form part of these statements.

* An explanation of major variances is included at Note 21.

Queensland Rural and Industry Development Authority

Statement of Financial Position

for the year ended 30 June 2017

	Notes	2017 Actual \$'000	2017 Original Budget \$'000	Budget Variance * \$'000	2016 Actual \$'000
Current Assets					
Cash and cash equivalents	9	123,552	87,817	35,735	137,343
Loans and advances	10	42,208	71,030	(28,822)	42,912
Receivables		5,955	102	5,853	110
Total Current Assets		171,715	158,949	12,766	180,364
Non-Current Assets					
Loans and advances	10	431,333	448,961	(17,628)	403,615
Property, plant and equipment		455	369	86	369
Intangible Assets		-	2,919	(2,919)	-
Other		-	350	(350)	-
Total Non-Current Assets		431,788	452,599	(20,811)	403,984
Total Assets		603,503	611,548	(8,044)	584,348
Current Liabilities					
Payables		346	376	(30)	269
Unearned Revenue		7,855	5,256	2,599	6,965
Interest-bearing borrowings	13	19,403	12,120	7,283	17,197
Non-interest-bearing borrowings	14	5,206	8,331	(3,125)	8,332
Accrued employee benefits		2,668	2,446	222	2,317
Total Current Liabilities		35,478	28,529	6,948	35,080
Non-Current Liabilities					
Interest-bearing borrowings	13	197,177	226,881	(29,704)	172,992
Non-interest-bearing borrowings	14	17,647	28,020	(10,373)	36,624
Accrued employee benefits		141	140	1	101
Lease incentive		283	-	283	-
Provisions		-	291	(291)	219
Total Non-Current Liabilities		215,248	255,332	(40,083)	209,936
Total Liabilities		250,726	283,861	(33,135)	245,016
Net Assets		352,777	327,687	25,090	339,332
Equity					
Contributed equity		137,652	84,652	53,000	137,652
Accumulated surplus		215,125	243,035	(27,910)	201,680
Total Equity		352,777	327,687	25,090	339,332

The accompanying notes form part of these statements.

* An explanation of major variances is included at Note 21

Queensland Rural and Industry Development Authority

Statement of Changes in Equity

for the year ended 30 June 2017

	Accumulated Surplus	Contributed Equity	TOTAL
	\$'000	\$'000	\$'000
Balance as at 1 July 2015	184,973	137,652	322,625
Operating result for the year	16,707	-	16,707
Total Comprehensive Income for the year	16,707	-	16,707
Balance as at 30 June 2016	201,680	137,652	339,332
Balance as at 1 July 2016	201,680	137,652	339,332
Operating result for the year	13,445	-	13,445
Total Comprehensive Income for the year	13,445	-	13,445
Balance as at 30 June 2017	215,125	137,652	352,777

The accompanying notes form part of these statements.

Queensland Rural and Industry Development Authority

Statement of Cash Flows

for the year ended 30 June 2017

	Notes	2017 Actual \$'000	2017 Original Budget \$'000	Budget Variance* \$'000	2016 Actual \$'000
Cash flows from operating activities					
<i>Inflows:</i>					
Grants		97,969	12,170	85,799	28,287
Fees		3,057	-	3,057	2,350
Interest received		22,628	23,176	(548)	26,349
GST input tax credits from ATO		306	-	306	371
GST collected from customers		60	-	60	28
Other		704	12	692	709
<i>Outflows:</i>					
Employee expenses		(9,509)	(11,746)	2,237	(9,500)
Supplies and services		(5,289)	(7,380)	2,091	(3,329)
Grants and subsidies		(86,418)	(1,000)	(85,418)	(15,558)
Finance/borrowing costs		(4,955)	(6,995)	2,040	(6,880)
GST paid to suppliers		(275)	-	(275)	(360)
GST remitted to ATO		(135)	-	(135)	(112)
Net cash provided by operating activities	CF-1	18,144	8,237	9,908	22,356
Cash flows from investing activities					
<i>Inflows:</i>					
Sales of plant and equipment		200	-	200	-
Loans and advances redeemed		86,213	63,496	22,717	77,645
<i>Outflows:</i>					
Payments for plant and equipment		(151)	(3,267)	3,116	-
Loans and advances made		(116,899)	(79,000)	(37,899)	(75,787)
Net cash provided by investing activities		(30,637)	(18,771)	(11,866)	1,858
Cash flows from financing activities					
<i>Inflows:</i>					
Interest-bearing and non-interest-bearing-borrowings		45,445	6,000	39,445	497
<i>Outflows:</i>					
Interest-bearing and non-interest-bearing borrowing redemptions		(46,743)	(20,702)	(26,041)	(114,458)
Net cash used in financing activities		(1,298)	(14,702)	13,404	(113,961)
Net increase (decrease) in cash and cash equivalents		(13,790)	(25,236)	11,446	(89,747)
Cash and cash equivalents at beginning of financial year		137,343	113,053	24,290	227,090
Cash and cash equivalents at end of financial year	9	123,552	87,817	35,735	137,343

The accompanying notes form part of these statements.

*An explanation of major variances is included at Note 21.

Queensland Rural and Industry Development Authority

Statement of Cash Flows

for the year ended 30 June 2017

NOTES TO THE STATEMENT OF CASH FLOW

CF-1 Reconciliation of Operating Result to Net Cash Provided by Operating Activities

	2017 \$'000	2016 \$'000
Operating surplus/(deficit)	13,445	16,707
<i>Non-Cash items included in operating result:</i>		
Depreciation and amortisation expense	217	815
Gain on disposal of Motor Vehicles	(272)	-
Gain on impairment reversal	(877)	(470)
<i>Change in assets and liabilities:</i>		
(Increase)/decrease in unamortised discount on borrowings received at greater than fair value	5,588	7,384
(Increase)/decrease in GST input tax credits receivable	(20)	11
(Increase)/decrease in other receivables	(5,905)	697
Increase/(decrease) in accounts payable	99	45
Increase/(decrease) in unamortised discount on loans issued at greater than fair value	4,549	(3,505)
Increase/(decrease) in accrued employee benefits	390	(171)
Increase/(decrease) in GST payable	(23)	(29)
Increase/(decrease) in provisions	(219)	-
Increase/(decrease) in lease incentive	283	-
Increase/(decrease) in unearned revenue	890	871
Net cash provided by operating activities	18,144	22,356

Queensland Rural and Industry Development Authority

Notes to the Financial Statements

for the year ended 30 June 2017

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- Note 1: Basis of Financial Statement Preparation
Note 2: Objectives of QRIDA

SECTION 2 – NOTES ABOUT OUR FINANCIAL PERFORMANCE

- Note 3: Grants
Note 4: Fees
Note 5: Interest
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SECTION 3 – NOTES ABOUT OUR FINANCIAL POSITION

- Note 9: Cash and Cash Equivalents
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SECTION 4 – NOTES ABOUT RISKS AND OTHER ACCOUNTING UNCERTAINTIES

- Note 15: Fair Value Measurement
Note 16: Financial Risk Disclosures
Note 17: Contingencies
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SECTION 5 – NOTES ABOUT OUR PERFORMANCE COMPARED TO BUDGET

- Note 21: Budgetary Reporting Disclosures
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SECTION 6 – OTHER INFORMATION

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Note 23: Board Members' Fees
Note 24: Related Party Transactions
Note 25: First Year Application of New Accounting Standards or Change in Accounting Policy
Note 26: Taxation
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Queensland Rural and Industry Development Authority

Notes to the Financial Statements

for the year ended 30 June 2017

Section 1 - About QRIDA and this financial report

Note 1: Basis of financial statement preparation

1.1 General Information

QRIDA is established as a statutory body under the *Rural and Regional Adjustment Act 1994* (Qld).

The head office and principal place of business of QRIDA is Level 26, 32 Turbot Street, Brisbane Qld 4000.

1.2 Compliance with prescribed requirements

QRIDA has prepared these financial statements in compliance with section 43 of the *Financial and Performance Management Standard 2009*. The financial statements comply with Queensland Treasury's Minimum Reporting Requirements for reporting periods beginning on or after 1 July 2016.

QRIDA is a not-for-profit entity and these general purpose financial statements are prepared on an accrual basis (except for the Statement of Cash Flows which is prepared on a cash basis) in accordance with Australian Accounting Standards and Interpretations applicable to not-for-profit entities.

New accounting standards early adopted and/or applied for the first time in these financial statements are outlined in **Note 25**.

1.3 Presentation

Currency and Rounding

Amounts included in the financial statements are in Australian dollars and rounded to the nearest \$1,000 or, where that amount is \$500 or less, to zero, unless disclosure of the full amount is specifically required. Subtotals shown in these financial statements reflect the unrounded amounts in QRIDA's financial records, rounded as above. Therefore, rounded amounts shown in these financial statements may not add to the rounded sub-totals.

Comparatives

Comparative information reflects the audited 2015-16 financial statements.

Current/Non-Current Classification

Assets and liabilities are classified as either 'current' or 'non-current' in the Statement of Financial Position and associated notes.

Assets are classified as 'current' where their carrying amount is expected to be realised within 12 months after the reporting date. Liabilities are classified as 'current' when they are due to be settled within 12 months after the reporting date, or QRIDA does not have an unconditional right to defer settlement to beyond 12 months after the reporting date.

All other assets and liabilities are classified as non-current.

1.4 Authorisation of financial statements for issue

The financial statements are authorised for issue by the Board of Directors at the date of signing of the Management Certificate.

1.5 Basis of measurement

Historical cost is used as the measurement basis in this financial report except where another measurement basis is stated in the relevant note.

Historical Cost

Under historical cost, assets are recorded at the amount of cash or cash equivalents paid or the fair value of the consideration given to acquire assets at the time of their acquisition. Liabilities are recorded at the amount of proceeds received in exchange for the obligation or at the amounts of cash or cash equivalents expected to be paid to satisfy the liability in the normal course of business.

Fair Value

Refer to **Note 15** for an explanation of Fair Value.

Present Value

Present value represents the present discounted value of the future net cash inflows that the item is expected to generate (in respect of assets) or the present discounted value of the future net cash outflows expected to settle (in respect of liabilities) in the normal course of business.

Amortised Cost using the effective interest method

The effective interest method is a method of calculating the amortised cost of a financial asset or a financial liability (or group of financial assets or financial liabilities) and of allocating the interest income or interest expense over the relevant period.

The amortised cost of a financial asset or financial liability is equal to the present value of estimated future cash flows at the financial instrument's original effective interest rate.

The effective interest rate is the rate that exactly discounts estimated future cash payments or receipts through the expected life of a financial instrument (or, when appropriate, a shorter period) to the net carrying amount of that instrument.

Note 2: Objectives of QRIDA

QRIDA's vision is to be the preferred provider of financial assistance programs across government through the strategic goals of business sustainability, service excellence and business capability.

QRIDA's objectives are to:

- foster the development of a more productive and sustainable rural and regional sector in Queensland;
- support the State's economy by providing assistance to primary producers, small businesses and other elements of the State's economy;
- give assistance by administering programs for the Australian Government and other states in rural and regional sectors outside Queensland;
- administer the Queensland Government's Primary Industry Productivity Enhancement Scheme (PIPES); and
- when required, support the delivery of Natural Disaster Relief and Recovery Arrangements (NDRRA).

Queensland Rural and Industry Development Authority

Notes to the Financial Statements

for the year ended 30 June 2017

Section 2 - Notes about our financial performance

Note 3: Grants

Accounting Policy

Grants are non-reciprocal in nature so do not require any goods or services to be provided in return. Corresponding revenue is recognised in the year in which QRIDA obtains control over the grant (control is generally obtained at the time of receipt).

Additional Disclosure

Included in revenue from Grants for 2017 is a grant of \$11.2 million (2016: \$9.5 million) from the Queensland Government for funding of QRIDA. The Grant has been recognised in its entirety upon receipt as QRIDA has met the grant agreement's conditions entitling it to receipt of the funding.

Note 4: Fees

Accounting Policy – Fees controlled by QRIDA are recognised as revenues when the services have been performed and the revenue can be measured reliably with a sufficient degree of certainty. This involves either invoicing for related goods/services; the recognition of accrued revenue; or the de-recognition of provisions for unearned revenue. Fees are controlled by QRIDA where they can be deployed for the achievement of QRIDA's objectives.

Note 5: Interest	Note	2017 \$'000	2016 \$'000
Contractual interest received on loans		19,303	20,723
Amortisation of discount on loans	10.4	13,230	10,643
Effective interest income on loans		32,533	31,365
Add: Interest earned on cash and investments		3,435	5,234
Total Interest		35,968	36,599

Note 6: Employee expenses	2017 \$'000	2016 \$'000
Employee Benefits		
Wages and salaries	7,301	6,790
Annual leave expense	637	528
Employer superannuation contributions	963	907
Long service leave expense	227	212
Termination benefit	72	218
Other employee benefits	132	126
Employee Related Expenses		
Workers' compensation premium	14	15
Payroll tax	437	442
Other employee related expenses	148	145
Total	9,930	9,384

	2017	2016
Full-time equivalent employees	98	79

Queensland Rural and Industry Development Authority

Notes to the Financial Statements

for the year ended 30 June 2017

Note 6: Employee expenses (continued)

Accounting Policies

Wages and Salaries – Wages and salaries due but unpaid at reporting date are recognised in the Statement of Financial Position at the current salary rates. QRIDA has classified these as current liabilities. Therefore, the liabilities are recognised at undiscounted amounts.

Sick Leave – Prior history indicates that on average, sick leave taken in each reporting period is less than the entitlement accrued. This is expected to continue in future periods. Accordingly, it is unlikely that existing accumulated entitlements will be used by employees and no liability for unused sick leave entitlements is recognised. As sick leave is non-vesting, an expense is recognised for this leave as it is taken.

Annual Leave and Time Off in Lieu (TOIL) – Annual leave and TOIL liabilities are classified and measured as ‘other long-term employee benefits’ as QRIDA does not expect to wholly settle all such liabilities within the 12 months following reporting date. The liabilities are recognised as a current liability at the present value of the expected future payments to be made to employees using the remuneration rate expected to apply at the time of settlement.

All directly associated on-costs (e.g. employer superannuation contributions, payroll tax and workers’ compensation insurance) are also recognised as liabilities, where these on-costs are material.

Long Service Leave – Long service leave liabilities are accounted for as ‘other long-term employee benefits’ in accordance with AASB 119, and split between current and non-current components. Accounting for ‘other long-term employee benefits’ requires:

- using an actuarial technique to estimate the cost of the employee benefits earned by employees, and
- discounting that benefit in order to determine the present value of QRIDA’s obligation and current service cost.

All directly associated on-costs (e.g. employer superannuation contributions, payroll tax and workers’ compensation insurance) are also recognised as liabilities, where these on-costs are material. The discount rates used to calculate the present value of long service leave are from 1.52 per cent to 2.05 per cent (2016: 1.51 per cent to 1.87 per cent). The discount rates are attached to Australian Stock Exchange (ASX) government bonds yields at the reporting date, which most closely matched the terms of maturity of the related obligations.

Superannuation – Post-employment benefits for superannuation are provided through defined contribution (accumulation) plans or the Queensland Government’s QSuper defined benefit plan as determined by the employee’s conditions of employment.

Defined Contribution Plans – Contributions are made to eligible complying superannuation funds based on the rates specified in *State Government Entities Certified Agreement 2015* or other conditions of employment. Contributions are expensed when they are paid or become payable following completion of the employee’s service each pay period.

Defined Benefit Plan – The liability for defined benefits is held on a whole-of-government basis and reported in those financial statements pursuant to AASB 1049 *Whole of Government and General Government Sector Financial Reporting*. The amount of contributions for defined benefit plan obligations is based upon the rates determined on the advice of the State Actuary. Contributions are paid by the authority at the specified rate following completion of the employee’s service each pay period. QRIDA’s obligation is limited to those contributions paid.

Workers’ Compensation Premiums – QRIDA pays premiums to WorkCover Queensland in respect of its obligations for employee compensation. Workers’ compensation insurance is a consequence of employing employees, but is not counted in an employee’s total remuneration package. It is not employee benefits and is recognised separately as employee related expenses.

Key management personnel and remuneration disclosures are detailed in **Note 22**.

Queensland Rural and Industry Development Authority

Notes to the Financial Statements

for the year ended 30 June 2017

Note 7: Supplies and services

	2017 \$'000	2016 \$'000
Advertising and promotion	225	105
Queensland Audit Office - fees for the external audit of financial statements	66	62
Audit Fees - Internal	62	81
Bank and other Financial Institution Fees and Charges	15	19
Computer expenses	768	332
Consultants	86	-
Contractors	2,139	881
Insurance	53	53
Motor vehicle expenses	111	112
Photocopying, printing and stationery	71	59
Postage	109	66
Professional and legal expenses	73	80
Rent	912	966
Securities expenses	94	67
Telephone and fax	177	144
Travel and accommodation	191	142
Other	203	203
Total	5,355	3,371

Accounting Policies

Distinction between Grants and Procurement – For a transaction to be classified as supplies and services, the value of goods or services received by the agency must be of approximately equal value to the value of the consideration exchanged for those goods or services. Where this is not the substance of the arrangement, the transaction is classified as a grant in the Statement of Comprehensive Income.

Operating Lease Rentals – Operating lease payments are representative of the pattern of benefits derived from the leased assets and are expensed in the periods in which they are incurred. Incentives received on entering into operating leases are recognised as liabilities. Lease payments are allocated between rental expense and reduction of the liability.

Operating leases are entered into as a means of acquiring access to office accommodation and storage facilities. Lease terms extend over a period of 6 years. QRIDA has no option to purchase the leased item at the conclusion of the lease although the lease terms can be renegotiated upon expiry. Operating lease rental expenses comprise the minimum lease payments payable under operating lease contracts. Lease payments are generally fixed, but with inflation escalation clauses on which contingent rentals are determined.

Note 8: Finance/borrowing costs

	Note	2017 \$'000	2016 \$'000
Contractual interest on borrowings		4,803	6,824
Amortisation of discount on interest-bearing and non-interest-bearing borrowings	13.1 & 14.1	6,926	10,314
Total effective interest on borrowings		11,729	17,138

Accounting Policy

Finance/Borrowing Costs – Finance costs are recognised as an expense in the period in which they are incurred. Finance costs include amortisation of discounts or premiums relating to borrowings and provisions. No borrowing costs are capitalised into qualifying assets.

Queensland Rural and Industry Development Authority

Notes to the Financial Statements

for the year ended 30 June 2017

Section 3 - Notes about our financial position

Note 9: Cash and cash equivalents

	2017 \$'000	2016 \$'000
Cash at bank	19,504	10,739
Queensland Treasury Corporation - at call	104,048	126,604
	123,552	137,343

Accounting Policy

For the purposes of the Statement of Financial Position and the Statement of Cash Flows, cash assets include all cash and cheques receipted but not banked at 30 June as well as deposits at call with financial institutions. It also includes investments with short periods of maturity that are readily convertible to cash on hand at QRIDA's option and that are subject to a low risk of changes in value. Cash and cash equivalents are measured at fair value through profit and loss, which is assumed to be equal to the nominal amounts notified by QRIDA's banks and investment counterparties.

Cash surplus to immediate requirements is invested according to the guidelines in the *Rural and Regional Adjustment Act 1994* (Qld), the *Statutory Bodies Financial Arrangements Act 1982* (Qld) and QRIDA's Investment Policy.

All bank and QTC cash holdings are interest-bearing. Total cash includes cash and interest revenue related to the funding of QRIDA's financial assistance programs. These are quarantined using separate bank accounts and separate accounting ledgers from cash that QRIDA uses to pay for employee expenses and supplies and services, and only reissued as future payments to program applicants, or repaid to the Government Agencies that funded the respective financial assistance programs.

Note 10: Loans and advances

	2017 \$'000	2016 \$'000
Gross carrying amount	568,855	539,209
Less: allowance for impairment losses	(818)	(2,565)
Discount on loans issued at greater than fair value	(94,496)	(90,118)
	473,541	446,527
Current	42,208	42,912
Non-Current	431,333	403,615
Total	473,541	446,527

Accounting Policy

Loans and advances – Loans and advances are recognised in the Statement of Financial Position when QRIDA becomes party to the contractual provisions of the financial instrument.

Queensland Rural and Industry Development Authority

Notes to the Financial Statements

for the year ended 30 June 2017

Note 10: Loans and advances (continued)

Disclosure 10.1 Credit risk exposure of loans and advances

Definition	Exposure	Measurement Method	Risk Management Strategies
Credit risk exposure refers to the situation where QRIDA may incur financial loss as a result of another party to a financial instrument failing to discharge their obligation.	- The maximum exposure to credit risk at Statement of Financial Position date in relation to each class of recognised Loans and advances is the gross carrying amount of those assets before allowing for any fair value adjustments or provisions for impairment. - Loans that are secured on real property in Australia are exposed to the risk of the increase of the Loan to Value Ratio (LVR) should the property market be subject to a decline.	- Ageing Analysis - Security Coverage Analysis - Concentrations of credit risk in relation to loans	- The method of managing credit risk exposure is by way of credit assessment procedures, annual loan reviews, and quarterly reporting of arrears to the Board. - The risk of loss from the loans undertaken is primarily reduced by the nature and quality of the security taken. The valuation of securities is assessed annually to ensure sufficient collateral to cover the indebtedness of borrowers. QRIDA's policy is to hold security over real property where available.

The credit quality of financial assets that are neither past due nor impaired can be assessed by reference to internal client loan risk classification based on collateral provided by borrowers:

Collateral coverage	2017 \$'000	2016 \$'000
Loans and advances with:		
Full collateral coverage	548,694	529,304
Partial collateral coverage	20,161	9,905
	568,855	539,209

Queensland Rural and Industry Development Authority

Notes to the Financial Statements

for the year ended 30 June 2017

Note 10: Loans and advances (continued)

Disclosure 10.2 Maximum Credit Risk Exposure

The following table represents the maximum exposure to credit risk based on geographical area and industry.

	Maximum credit risk exposure			
	% of total loans		\$'000	
	2017	2016	2017	2016
Geographical area				
Central Queensland	24.42%	24.23%	138,940	130,673
North Queensland	10.58%	10.50%	60,179	56,615
South East Queensland	43.00%	44.14%	244,599	237,983
South West Queensland	15.32%	15.21%	87,141	81,994
West Queensland	5.74%	4.74%	32,629	25,572
Northern Territory	0.94%	1.18%	5,367	6,372
Total	100.00%	100.00%	568,855	539,209
Industry				
Aquaculture & Fishing	0.98%	0.91%	5,592	4,901
Banana Growing	1.25%	1.41%	7,107	7,626
Beef Cattle	52.32%	50.09%	297,636	270,115
Dairy Cattle	2.96%	3.28%	16,854	17,676
Grain & Livestock	9.85%	10.08%	56,022	54,362
Other Crops	7.60%	9.03%	43,215	48,704
Other Livestock	4.63%	4.07%	26,332	21,967
Small Crops & Fruit	4.61%	4.95%	26,240	26,693
Sugar Cane	14.47%	13.77%	82,290	74,230
Small Business	1.33%	2.40%	7,567	12,935
Total	100.00%	100.00%	568,855	539,209

10.3 Impairment of Loans and Advances

Accounting Policy

Impairment of Loans and Advances – The allowance for impairment reflects the occurrence of loss events. The most readily identifiable loss event is where a debtor is significantly overdue in making a contractual repayment to QRIDA.

A loan is past due when the client has failed to make payment when contractually due. Past due does not mean that a client will never pay, but it can trigger various actions such as renegotiation, enforcement of covenants or legal proceedings.

If appropriate, the estimated recoverable amount of the loan is determined and any impairment loss based on the net present value of future anticipated cash flows is recognised in the financial statements.

If QRIDA determines that an amount owing by such a debtor does become uncollectible (after an appropriate range of debt recovery actions), that amount is recognised as a Bad Debt expense and written-off directly against Loans and advances.

Queensland Rural and Industry Development Authority

Notes to the Financial Statements

for the year ended 30 June 2017

Note 10: Loans and advances (continued)

Disclosure 1 - Ageing of Past Due but Not Impaired Loans and Advances

	2017 \$'000	2016 \$'000
Overdue		
Less than 31 days	19,693	17,842
31 to 63 days	3,886	7,646
63 to 95 days	2,886	2,931
Greater than 95 days	7,260	10,532
Total overdue	33,725	38,951

Disclosure 2 - Individually Impaired Loans and Advances Position (Aged)

	2017			2016		
	Amortised cost gross of impairment provision	Provision for impairment	Carrying amount	Amortised cost gross of impairment provision	Provision for impairment	Carrying amount
	\$'000	\$'000	\$'000	\$'000	\$'000	\$'000
Overdue						
Less than 31 days	76	(62)	14	274	(260)	14
31 to 63 days	-	-	-	268	(115)	153
63 to 95 days	-	-	-	-	-	-
Greater than 95 days	1,242	(497)	745	2,098	(1,478)	620
Overdue	1,318	(559)	759	2,640	(1,853)	787
Not overdue	392	(259)	133	1,454	(711)	743
Total	1,710	(818)	892	4,094	(2,564)	1,530

Disclosure 3 - Movement in Allowance for Impairment of Loans and Advances

	2017 \$'000	2016 \$'000
Balance at 1 July	2,565	4,639
Increase/(decrease) in allowance recognised in operating result	(877)	(470)
Amounts written-off during the year	(870)	(1,605)
Balance at 30 June	818	2,565

10.4 Movement in Discount on Loans Issued at Greater Than Fair Value

	Note	2017 \$'000	2016 \$'000
Balance at 1 July		90,118	94,015
Loss on loans issued at greater than fair value		17,608	6,745
Amortisation of discount on loans	5	(13,230)	(10,643)
Balance at 30 June		94,496	90,118

Queensland Rural and Industry Development Authority

Notes to the Financial Statements

for the year ended 30 June 2017

Note 10: Loans and advances (continued)

Accounting Policy

Loans and advances are measured initially at fair value. Where loans and advances are provided with interest free periods or at concessional interest rates, they are considered to have a fair value which is less than the amount lent. This fair value is calculated in accordance with **Note 15.1**. Any additional amount lent above the fair value is recognised as a charge for discounted loans in profit or loss.

Subsequently, loans and advances are measured at amortised cost using the effective interest method as defined in **Note 1.5**. The discount rate used to calculate the amortised cost is the original effective interest rate applied to the loan, and is calculated in accordance with **Note 15.1**.

Note 11: Property, plant and equipment and depreciation expense

11.1 Recognition and Acquisition

Accounting Policy - Recognition

Basis of Capitalisation and Recognition Thresholds - Items of plant and equipment with a historical cost or other value equal to or in excess of the asset recognition threshold of \$5,000 are recognised for financial reporting purposes in the year of acquisition. Items with a lesser value are expensed in the year of acquisition. Expenditure is only added to an asset's carrying amount if it increases the service potential or useful life of the existing asset. Maintenance expenditure that merely restores original service potential (lost through ordinary wear and tear) is expensed.

Plant and equipment is measured at historical cost in accordance with the Queensland Government's Non-Current Asset Policies.

11.2 Depreciation Expense

Accounting Policy

Plant and equipment is depreciated on a straight-line basis so as to allocate the net cost of each asset, less its estimated residual value, progressively over its estimated useful life to QRIDA.

Residual values are estimated based on the second hand market for any assets with resale potential.

Key Judgement: Straight line depreciation is used in reflecting the progressive consumption of future economic benefits over their useful life to QRIDA.

Key Estimate: For each class of Plant and equipment, the following depreciation rates are used:

Class	Rate %
Computer equipment	20
Leasehold improvements	16.7-25
Motor vehicles	33.3
Office equipment	17

11.3 Impairment

Accounting Policy

All non-current physical assets are assessed for indicators of impairment on an annual basis. If an indicator of possible impairment exists, QRIDA determines the asset's recoverable amount. Any amount by which the asset's carrying amount exceeds the recoverable amount is recorded as an impairment loss. The asset's recoverable amount is determined as the higher of the asset's fair value less costs to sell and depreciated replacement cost.

There were no impairment losses identified for plant or equipment in the current or prior financial years.

Note 12: Intangibles and amortisation expense

12.1 Recognition and Measurement

Accounting Policy

Intangible assets with a historical cost or other value equal to or greater than \$100,000 are recognised in the financial statements. Items with a lesser value are expensed. Any training costs are expensed as incurred. Each intangible asset, less any anticipated residual value, is amortised over its estimated useful life to QRIDA. The residual value is zero for all of QRIDA's intangible assets.

It has been determined that there is not an active market for any of QRIDA's intangible assets. As such, the assets are recognised and carried at cost less accumulated amortisation and accumulated impairment losses.

The purchase cost of intangible assets as well as any employee benefit costs and professional fees arising directly from testing the asset or bringing it into its working condition are capitalised and amortised on a straight-line basis over the period of the expected benefit to QRIDA. The period of expected benefit ranges from 1 to 10 years.

Internal costs associated with the development of computer software are capitalised in accordance with the Queensland Government's Non-current Asset Policy.

Queensland Rural and Industry Development Authority

Notes to the Financial Statements

for the year ended 30 June 2017

Note 12: Intangibles and amortisation expense (continued)

12.2 Impairment

Accounting Policy

Intangible assets are assessed for indicators of impairment on an annual basis. If an indicator of possible impairment exists, QRIDA determines the asset's recoverable amount. Any amount by which the asset's carrying amount exceeds the recoverable amount is recorded as an impairment loss.

Intangible assets are principally assessed for impairment by reference to the actual and expected continuing use of the asset by QRIDA, including discontinuing the use of the software. Recoverable amount is determined as the higher of the asset's fair value less costs to sell and depreciated replacement cost.

Note 13: Interest-bearing borrowings

	2017 \$'000	2016 \$'000
Current		
Queensland Treasury Corporation*	4,784	853
Queensland Government**	14,566	12,276
Northern Territory Government	-	65
Australian Government	53	4,003
Total	19,403	17,197
Non-Current		
Queensland Treasury Corporation*	36,960	675
Queensland Government**	62,059	57,912
Northern Territory Government	5,011	5,952
Australian Government	93,147	108,452
Total	197,177	172,992
Total	216,580	190,189

*This loan facility was approved under the Queensland Government's State Borrowing Program. At 30 June 2017, the amount undrawn under the facility was \$63.26 million (2016: \$21.70 million).

** Under the NDRRA Program, QRIDA borrows funds from the Queensland Government. Part of the funds borrowed is interest-bearing and is shown in this **Note 13**. The other part is interest-free and is shown in **Note 14**.

Accounting Policy

Financial liabilities are recognised in the Statement of Financial Position when QRIDA becomes party to the contractual provisions of the financial instrument.

Additional Disclosures

QRIDA borrows money from the Australian and Northern Territory Governments to be on-lent to successful applicants under the Australian Government's Concessional Loans Schemes. All borrowings are in Australian dollars denominated amounts. The timing and quantum of interest payable to the Australian and Northern Territory Governments is directly linked to the timing and quantum of bank and loan interest received by QRIDA.

Where QRIDA is unable to recover concessional loans made to businesses on behalf of the Australian or Northern Territory Governments, QRIDA's obligation to repay the respective liability to the Australian or Northern Territory Government's will be reviewed in accordance with the loan agreements between QRIDA and those governments. Effective 1 July 2015, QRIDA acted as an agent in managing certain funds on behalf of a number of government agencies. Transactions and balances where QRIDA is an agent are disclosed in **Note 27**.

Interest rates on interest-bearing borrowings range from 1.16 per cent to 3.03 per cent (2016: 1.38 per cent to 3.55 per cent).

Queensland Rural and Industry Development Authority

Notes to the Financial Statements

for the year ended 30 June 2017

Note 13: Interest-bearing borrowings (continued)

13.1 Movement in Discount On Interest-Bearing Borrowings

	Note	2017 \$'000	2016 \$'000
Balance at 1 July		18,723	24,245
Gain on borrowings received at greater than fair value		3,310	2,282
Amortisation of discount on borrowings	8	(4,946)	(7,804)
Balance at 30 June		17,087	18,723

Accounting Policy

Borrowings are initially recognised at fair value. Where borrowings are provided with interest-free periods or at concessional interest rates, they are considered to have a fair value which is less than the amount borrowed. This fair value is calculated in accordance with **Note 15**. Any additional amount received above the fair value is recognised as a gain on borrowings received at concessional interest rates in the Statement of Comprehensive Income.

Subsequently, borrowings are measured at amortised cost using the effective interest method as defined in **Note 1.5**. The discount rate used to calculate the amortised cost is the original effective interest rate applied to the borrowing, and is calculated in accordance with **Note 15**.

Finance costs are recognised as Finance/Borrowing Costs in the Statement of Comprehensive Income in the period in which they are incurred. Interest on the borrowings which is calculated using the effective interest method as defined in **Note 1.5** is also reported under Finance/Borrowing Costs (refer to **Note 8**).

Note 14: Non-interest-bearing borrowings

	2017 \$'000	2016 \$'000
Current		
Queensland Government**	5,206	8,332
Non-current		
Queensland Government**	17,647	36,624
Total Non-Interest-Bearing Borrowings	22,853	44,955

** Interest-free component of loans for the NDRRA program (refer to **Note 13**).

The accounting policy appearing under **Note 13** also applies to the balances shown in this **Note 14**.

14.1 Movement in Discount on Non-Interest-Bearing Borrowings

	Note	2017 \$'000	2016 \$'000
Balance at 1 July		8,209	10,128
Gain on borrowings received at greater than fair value		110	592
Reclassification to interest-bearing borrowings	14.2	(2,233)	-
Amortisation of discount on borrowings	8	(1,980)	(2,510)
Balance at 30 June		4,106	8,209

Queensland Rural and Industry Development Authority

Notes to the Financial Statements

for the year ended 30 June 2017

Note 14: Non-interest-bearing borrowings (continued)

14.2 Additional Disclosure

Reclassification to interest-bearing borrowings – The interest-free portion of borrowings for NDRRA programs are determined by the Queensland Government and the Commonwealth Government. During 2016-17, QRIDA was advised that a combination of prior year recognised interest-free borrowings of \$17.4 million were reclassified as interest-bearing borrowings. Consequently, the associated gain on borrowings received at greater than fair value is reclassified to interest-bearing borrowings.

Section 4 - Notes about risks and other accounting uncertainties

Note 15: Fair value measurement

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date under current market conditions (i.e. an exit price).

15.1 Fair Value Measurement Hierarchy

All assets and liabilities of QRIDA for which fair value is measured or disclosed in the financial statements are categorised within the following fair value hierarchy, based on the data and assumptions used in the most recent specific appraisals:

Level 1	represents fair value measurements that reflect unadjusted quoted market prices in active markets for identical assets and liabilities;
Level 2	represents fair value measurements that are substantially derived from inputs (other than quoted prices included within level 1) that are observable, either directly or indirectly; and
Level 3	represents fair value measurements that are substantially derived from unobservable inputs.

The fair value of borrowings from the Queensland Treasury Corporation (QTC) is notified by QTC. It is calculated using discounted cash flow analysis and the effective interest rate. They are categorised as level 3 fair values within the fair value hierarchy.

All of QRIDA's other financial assets and liabilities are classified within level 2 of the fair value hierarchy.

The initial fair value of loans, advances and borrowings is estimated using a valuation technique (i.e. the fair value can be estimated as the present value of all future cash receipts discounted using the prevailing market rate(s) of interest for a similar instrument with a similar credit risk).

For loans and advances, QRIDA estimates these prevailing market rates by reference to the 90 day bank bill swap bid rate (BBSY 90 Bid) plus a risk premium. The risk premium takes account of the term of the loan and the security available. These risk premiums range from 335 basis points to 720 basis points (2016: from 335 basis points to 720 basis points).

For borrowings from the Australian and Northern Territory Governments, QRIDA estimates the prevailing market rate of interest to be equal to the market rate of interest applying to loans and advances made under the concessional loans schemes that QRIDA administers on behalf of those governments.

For borrowings from the Queensland Government, QRIDA estimates the Queensland Treasury Corporation ten year debt pool interest rates to be the prevailing market rates for a Queensland Government Agency receiving ten year loans from another Government Agency.

15.2 Fair Value Disclosures for Financial Assets and Liabilities Measured at Amortised Cost

	2017		2016	
	Carrying amount \$'000	Fair value \$'000	Carrying amount \$'000	Fair value \$'000
Financial assets				
Financial assets at amortised cost				
Loans and advances	473,541	482,084	446,527	456,622

Queensland Rural and Industry Development Authority

Notes to the Financial Statements

for the year ended 30 June 2017

Note 15: Fair value measurement (continued)

	2017		2016	
	Carrying amount \$'000	Fair value \$'000	Carrying amount \$'000	Fair value \$'000
Financial Liabilities				
Financial liabilities at amortised cost				
Australian Government Borrowings	93,200	100,743	112,455	124,140
Northern Territory Government Borrowings	5,011	5,387	6,017	6,595
Queensland Government Borrowings	99,478	104,434	115,144	122,590
Queensland Treasury Corporation Borrowings	41,744	41,600	1,528	1,592
Total	239,433	252,164	235,144	254,917

Note 16: Financial risk disclosures

16.1 Financial instrument categories

Financial assets and liabilities are recognised in the Statement of Financial Position when QRIDA becomes party to the contractual provisions of the financial instrument.

Category	Note	2017 \$'000	2016 \$'000
Financial assets			
Cash and cash equivalents	9	123,552	137,343
Loans and advances	10	473,541	446,527
Receivables		5,955	110
Total		603,048	583,980
Financial liabilities			
Financial liabilities measured at amortised cost:			
Payables		346	269
Interest-bearing borrowings	13	216,580	190,189
Non-interest-bearing borrowings	14	22,853	44,955
Total		239,779	235,413

No financial assets and financial liabilities have been offset and presented net in the Statement of Financial Position.

16.2 Financial risk management

(a) Risk Exposure

Financial risk management is implemented pursuant to the Queensland Government's and QRIDA's policy. These policies focus on the unpredictability of financial markets and seek to minimise potential adverse effects on the financial performance of QRIDA.

All financial risk is managed by the Board of Directors and the Audit and Risk Management Committee under policies approved by QRIDA. QRIDA provides written principles for overall risk management, as well as policies covering specific areas.

Queensland Rural and Industry Development Authority

Notes to the Financial Statements

for the year ended 30 June 2017

Note 16: Financial risk disclosures (continued)

QRIDA's activities expose it to a variety of financial risks as set out in the following table:

Risk Exposure	Definition	Exposure	Measurement Method	Risk Management Strategies
Credit risk	Refer to Note 10	Refer to Note 10	Refer to Note 10	Refer to Note 10
Liquidity risk	Liquidity risk refers to the situation where QRIDA may encounter difficulty in meeting obligations associated with financial liabilities that are settled by delivering cash or another financial asset.	QRIDA is exposed to liquidity risk in respect of its payables and borrowings from Queensland Treasury Corporation, Queensland Treasury, the Australian Government and the Northern Territory Government for on-lending.	Maturity analysis	QRIDA manages liquidity risk using a liquidity management strategy. This strategy aims to reduce the exposure to liquidity risk by ensuring QRIDA has sufficient funds available to meet payment obligations as they fall due. This is achieved by ensuring that minimum levels of cash are held within the various bank accounts so as to match the expected duration of the various liabilities.
Market risk	The risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market prices. Market risk comprises three types of risk: currency risk, interest rate risk and other price risk. Interest rate risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market interest rates.	QRIDA does not trade in foreign currency and is not materially exposed to commodity price changes. QRIDA is exposed to interest rate risk through its interest bearing borrowings, cash deposited in interest bearing accounts, and through the variable interest rates applying to certain loans issued by QRIDA.	Interest rate sensitivity analysis	QRIDA does not undertake any hedging in relation to interest risk and manages its risk as per QRIDA's liquidity risk management strategy.

(b) Liquidity risk – Contractual maturity of financial liabilities

The following table sets out the liquidity risk of financial liabilities held by QRIDA. It represents the contractual maturity of financial liabilities, calculated based on undiscounted cash flows relating to the liabilities at reporting date as advised by Queensland Treasury Corporation, the Australian Government and the Northern Territory Government. The undiscounted cash flows in these tables differ from the amounts included in the Statement of Financial Position that are based on discounted cash flows.

Queensland Treasury Corporation borrowings in respect of PIPES are interest only with no fixed repayment date for the principal component. For the purposes of completing the maturity analysis, the principal component of these loans has been included in the more than five year time band with 30 years interest payment assumed.

Financial Liabilities	2017	Contractual maturity payable in			2016	Contractual maturity payable in		
	Total	< 1 Yr	1 - 5 Yrs	> 5 Yrs	Total	< 1 Yr	1 - 5 Yrs	> 5 Yrs
	\$'000	\$'000	\$'000	\$'000	\$'000	\$'000	\$'000	\$'000
Payables	346	346	-	-	269	269	-	-
Australian Government borrowings	110,325	3,215	103,940	3,170	138,434	4,330	130,465	3,639
Northern Territory Government borrowings	5,831	189	5,642	-	7,290	228	7,062	-
Queensland Government borrowings	115,357	20,756	74,103	20,498	136,150	21,695	77,203	37,252
Queensland Treasury Corporation borrowings	68,322	5,617	3,541	59,164	1,624	928	696	-
Total	300,181	30,123	187,226	82,832	283,767	27,449	215,426	40,892

Queensland Rural and Industry Development Authority

Notes to the Financial Statements

for the year ended 30 June 2017

Note 16: Financial risk disclosures (continued)

(c) Interest rate sensitivity analysis

The following interest rate sensitivity analysis is based on a report similar to that provided to management, depicting the outcome on net income if interest rates would change by +/- 1 per cent from the year-end rates applicable to QRIDA's financial assets and liabilities. With all other variables held constant, QRIDA would have a surplus and equity increase/(decrease) of \$3.81 million (2016: \$3.94 million).

The impact of interest rate movement on QRIDA's profit and equity has decreased in the current period due to a decrease in the ratio of QRIDA's interest-bearing assets to interest-bearing borrowings from 3.07:1 (2016) to 2.76:1 (2017).

Financial instruments	Carrying amount \$'000	2017 interest rate risk			
		-1%		+1%	
		Profit \$'000	Equity \$'000	Profit \$'000	Equity \$'000
Cash and cash equivalents	123,552	(1,236)	(1,236)	1,236	1,236
Loans and advances	473,541	(4,735)	(4,735)	4,735	4,735
Australian Government borrowings	93,200	932	932	(932)	(932)
Northern Territory Government borrowings	5,011	50	50	(50)	(50)
Queensland Government borrowings*	76,625	766	766	(766)	(766)
Queensland Treasury Corporation borrowings	41,744	417	417	(417)	(417)
Overall effect on profit and equity		(3,806)	(3,806)	3,806	3,806

Financial instruments	Carrying amount \$'000	2016 interest rate risk			
		-1%		+1%	
		Profit \$'000	Equity \$'000	Profit \$'000	Equity \$'000
Cash and cash equivalents	137,343	(1,373)	(1,373)	1,373	1,373
Loans and advances	446,527	(4,465)	(4,465)	4,465	4,465
Australian Government borrowings	112,455	1,125	1,125	(1,125)	(1,125)
Northern Territory Government borrowings	6,017	60	60	(60)	(60)
Queensland Government borrowings*	70,189	702	702	(702)	(702)
Queensland Treasury Corporation borrowings	1,528	15	15	(15)	(15)
Overall effect on profit and equity		(3,937)	(3,937)	3,937	3,937

* Interest-bearing component of borrowings for the NDRRA program (refer to **Note 13**).

Note 17: Contingencies

QRIDA did not have any contingent assets or liabilities as at 30 June 2017 (2016: nil).

Note 18: Commitments

18.1 Non-cancellable operating lease

Commitments under operating leases at reporting date (inclusive of non-recoverable GST input tax credits) are payable as follows:

	2017 \$'000	2016 \$'000
Not later than one year	617	911
Later than one year and not later than five years	2,823	232
Later than five years	525	-
Total	3,965	1,143

Queensland Rural and Industry Development Authority

Notes to the Financial Statements

for the year ended 30 June 2017

Note 18: Commitments (continued)

18.2 Capital expenditure commitments

At the reporting date, QRIDA had no commitments for capital expenditure (2016: Nil).

18.3 Financial assistance commitments

At reporting date, QRIDA has undrawn financial assistance commitments of \$22.19 million (2016: \$21.70 million). Undrawn commitments are loans and grants that have been approved and are awaiting client drawdown at balance date.

Note 19: Events occurring after the balance date

The *Farm Business Debt Mediation Act 2017 (The Act)* was passed by the Queensland Parliament in March 2017. The Act includes a name change for the authority from QRAA, to the Queensland Rural and Industry Development Authority (QRIDA). QRIDA will assume an expanded range of functions under the new name from 1 July 2017. The *Farm Business Debt Mediation Act 2017* provides a process for the efficient and equitable resolution of farm debt disputes. QRIDA will be the authority that oversees the *Farm Business Debt Mediation Act 2017*.

Note 20: Future impact of accounting standards not yet effective

At the date of authorisation of the financial report, the expected impacts of new or amended Australian Accounting Standards issued but with future commencement dates are set out below:

AASB 2016-2 Amendments to Australian Accounting Standards - Disclosure Initiative: Amendments to AASB 107

As from the authority's financial statements for 2017-18, this standard will require additional disclosures to enable the reader to evaluate changes in liabilities arising from financing activities. These disclosures will include both cash flows and non-cash changes between the opening and closing balance of the relevant liabilities and be disclosed by way of a reconciliation in the notes to the Statement of Cash Flows.

AASB 1058 Income of Not-for-Profit Entities and AASB 15 Revenue from Contracts with Customers

These Standards will first apply to QRIDA from its financial statements for 2019-20.

QRIDA has commenced analysing the new revenue recognition requirements under these standards and is yet to form conclusions about significant impacts. Potential future impacts identifiable at the date of this report are as follows:

- Under the new standards, some grants presently recognised as revenue upfront may be eligible to be recognised as revenue progressively as the associated performance obligations are satisfied, but only if the associated performance obligations are enforceable and sufficiently specific. QRIDA is yet to evaluate the existing grant arrangements as to whether revenue from those grants could be deferred under the new requirements.

- Grants that are not enforceable and/or not sufficiently specific will not qualify for deferral, and continue to be recognised as revenue as soon as they are controlled. QRIDA receives grants for which there are no sufficiently specific performance obligations – these grants are expected to continue being recognised as revenue upfront assuming no change to the current grant arrangements.
- Depending on the respective contractual terms, the new requirements of AASB 15 may potentially result in a change to the timing of revenue from performance of QRIDA's services such that some revenue may need to be deferred to a later reporting period to the extent that QRIDA has received cash but has not met its associated performance obligations (such amounts would be reported as a liability in the meantime). QRIDA is yet to complete its analysis of existing arrangements for performance of its services and the impact, if any, on revenue recognition has not yet been determined.

A range of new disclosures will also be required by the new standards in respect of QRIDA's revenue.

AASB 9 Financial Instruments and AASB 2014-7 Amendments to Australian Accounting Standards arising from AASB 9 (December 2014)

These Standards will first apply to QRIDA from its financial statements for 2018-19.

The main impacts of these standards on QRIDA are that they will change the requirements for the classification, measurement, impairment and disclosures associated with QRIDA's financial assets. AASB 9 will introduce different criteria for whether financial assets can be measured at amortised cost or fair value.

QRIDA has commenced reviewing the measurement of its financial assets against the new AASB 9 classification and measurement requirements. However, as the classification of financial assets at the date of initial application of AASB 9 will depend on the facts and circumstances existing at that date, QRIDA's conclusions will not be confirmed until closer to that time. At this stage, and assuming no change in the types of transactions QRIDA enters into, it is expected that all of QRIDA's loans and advances will continue to be required to be measured at amortised cost.

Pursuant to AASB 9, financial assets can only be measured at amortised cost if two conditions are met. One of these conditions is that the asset must be held within a business model whose objective is to hold assets in order to collect contractual cash flows. The other condition is that the contractual terms of the asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

Another impact of AASB 9 relates to calculating impairment losses for QRIDA's receivables. Assuming no substantial change in the nature of QRIDA's loans and advances, impairment losses will be determined according to the amount of lifetime expected credit losses. On initial adoption of AASB 9, QRIDA will need to determine the expected credit losses for its loans and advances by comparing the credit risk at that time to the credit risk that existed when those receivables were initially recognised.

Queensland Rural and Industry Development Authority

Notes to the Financial Statements

for the year ended 30 June 2017

Note 20: Future impact of accounting standards not yet effective (continued)

QRIDA will not need to restate comparative figures for financial instruments on adopting AASB 9 as from 2018-19. However, changed disclosure requirements will apply from that time. A number of one-off disclosures will be required in the 2018-19 financial statements to explain the impact of adopting AASB 9. Assuming no change in the types of financial instruments that QRIDA enters into, the most likely ongoing disclosure impacts are expected to relate to the credit risk of loans and advances subject to impairment.

AASB 16 Leases

This standard will first apply to QRIDA from its financial statements for 2019-20. When applied, the standard supersedes AASB 117 *Leases*, AASB Interpretation 4 *Determining whether an Arrangement contains a Lease*, AASB Interpretation 115 *Operating Leases – Incentives* and AASB Interpretation 127 *Evaluating the Substance of Transactions Involving the Legal Form of a Lease*.

Impact for Lessees

Unlike AASB 117 *Leases*, AASB 16 introduces a single lease accounting model for lessees. Lessees will be required to recognise a right-of-use asset (representing rights to use the underlying leased asset) and a liability (representing the obligation to make lease payments) for all leases with a term of more than 12 months, unless the underlying assets are of low value.

In effect, the majority of operating leases (as defined by the current AASB 117) will be reported on the Statement of Financial Position under AASB 16. There will be an increase in assets and liabilities for QRIDA. The impact is expected to be insignificant compared with QRIDA's existing assets and liabilities.

The right-of-use asset will be initially recognised at cost, consisting of the initial amount of the associated lease liability, plus any lease payments made to the lessor at or before the effective date, less any lease incentive received, the initial estimate of restoration costs and any initial direct costs incurred by the lessee. The right-of-use asset will give rise to a depreciation expense.

The lease liability will be initially recognised at an amount equal to the present value of the lease payments during the lease term that are not yet paid. Current operating lease rental payments will no longer be expensed in the Statement of Comprehensive Income. They will be apportioned between a reduction in the recognised lease liability and the implicit finance charge (the effective rate of interest) in the lease. The finance cost will also be recognised as an expense.

AASB 16 allows a 'cumulative approach' rather than full retrospective application to recognising existing operating leases. If a lessee chooses to apply the 'cumulative approach', it does not need to restate comparative information. Instead, the cumulative effect of applying the standard is recognised as an adjustment to the opening balance of accumulated surplus (or other component of equity, as appropriate) at the date of initial application. QRIDA will await further guidance from Queensland Treasury on the transitional accounting method to be applied.

QRIDA has not yet quantified the impact on the Statement of Comprehensive Income or the Statement of Financial Position of applying AASB 16 to its current operating leases, including the extent of additional disclosure required.

All other Australian accounting standards and interpretations with future effective dates are either not applicable to QRIDA's activities, or have no material impact on QRIDA.

Queensland Rural and Industry Development Authority

Notes to the Financial Statements

for the year ended 30 June 2017

Section 5 - Notes about our performance compared to budget

Note 21: Budgetary reporting disclosures

This section discloses QRIDA's original published budgeted figures for 2016-17 compared to actual results, with explanations of major variances, in respect of QRIDA's Statement of Comprehensive Income, Statement of Financial Position and Statement of Cash Flows.

Overall Comments

As a specialist administrator of financial assistance programs on behalf of various government agencies, QRIDA often is required to deliver new programs that are announced after QRIDA's annual budget has been finalised. This can have a significant impact on QRIDA's financial results.

Explanation of major variances - Statement of Comprehensive Income

Grants	The increase of \$90.78 million is largely due to the Transitional Assistance Payment Scheme (TAPS) of \$60 million, the Industry Hardship Assistance Scheme (IHAS) of \$26.70 million and the Natural Disaster Relief and Recovery Arrangement (NDRRA) for Tropical Cyclone Debbie of \$4.98 million which were not included in the 2016-17 budget. The TAPS and IHAS schemes were announced in 2016-17 as part of the Taxi and Limousine Industry Assistance Scheme. Tropical Cyclone Debbie occurred in March 2017 activating NDRRA funding.
Bad debt recovery	Recovery of bad debt write-off for NDRRA - Tropical Cyclone Oswald was not included in the 2016-17 budget.
Employee Expenses	Due to the staged approach to recruitment of additional staff during the year to deliver the PIPES in 2016-17, the level recruited was below that budgeted by \$1.8 million.
Supplies and services	The majority of the decrease of \$2.03 million can be attributed to the replacement of the Compass project which was designed to replace RAPID with the lower cost RAPID Renovation project which will enhance the existing functionality of RAPID. RAPID is the core loans and grants administration system.
Grants and subsidies	The increase of \$85.4 million is largely due to the Transitional Assistance Payment Scheme (TAPS) of \$60 million, the Industry Hardship Assistance Scheme (IHAS) of \$19 million and the Natural Disaster Relief and Recovery Arrangement (NDRRA) for Tropical Cyclone Debbie of \$4.98 million which were not included in the 2016-17 budget. The TAPS and IHAS schemes were announced in 2016-17 as part of the Taxi and Limousine Industry Assistance Scheme. Tropical Cyclone Debbie occurred in March 2017 activating NDRRA funding.
Loss on loans	The increase of \$4.68 million is due to higher than budgeted PIPES loans issued.
Gain on impairment reversal and Impairment losses	The increase of \$0.88 million on Gain on Impairment Reversal and decrease of \$2.13 million on Impairment Losses are due to the lower bad debt write-offs for loans than expected.

Queensland Rural and Industry Development Authority

Notes to the Financial Statements

for the year ended 30 June 2017

Note 21: Budgetary reporting disclosures (continued)

Explanation of major variances - Statement of Financial Position

Cash and cash equivalents	The increase of \$35.7 million is largely due to the opening balance as at 1 July 2016 being \$24.38 million higher than budgeted due to higher than anticipated early repayments for NDRRA loans and lower advances for PIPES during 2015-16 and \$10.62 million early repayment for NDRRA during 2016-17.
Loans and advances (Current)	The current Loans and advances is \$28.82 million lower than budget largely due to reduced expected repayments on PIPES \$22.73 million and NDRRA \$5.73 million as a result of early repayments during the year.
Receivables	The increase of \$5.85 million higher than budget on current receivables is largely due to the \$4.98 million on NDRRA grant receivables and \$0.58 million on administration fee receivables.
Loans and advances (Non-Current)	The Australian Government Concessional Loan Schemes were included as balance sheet transactions until the end of the 2015-16 financial year and hence were included in the 2016-17 budget. It has been determined that QRIDA acts as an agent in its management of some of these funds and no longer includes them in the financial statements. This is offset by the increase in the PIPES lending during the year. The decrease of \$17.63 million is largely due to the budgeted lending of \$55 million on the agency programs which is now excluded and \$5.63 million budget for NDRRA which did not occur, offset by \$43.52 million higher than budgeted new lending on PIPES due to the CBRC approval to increase the annual lending cap.
Intangible Assets	The 2016-17 budget includes capital expenditure for the Compass project which was replaced with the RAPID Renovation project which has no budgeted capital expenditure.
Unearned Revenue	The increase is largely due to the unearned fee of \$2.05 million for service revenue associated with the administration of the 2016-17 Australian Government Concessional Loans Schemes which were not approved when the 2016-17 budget was finalised.
Interest-bearing borrowings - Current	The majority of the \$7.28 million increase is due to the increased variable rate loan from QTC for QRIDA's PIPES loans of \$4.09 million and \$3.17 million repayments on reclassified NDRRA borrowings. During 2016-17, \$17 million of NDRRA borrowings were reclassified from non-interest-bearing borrowings to interest-bearing borrowings on the instruction of Treasury.
Non-interest-bearing borrowings - Current	The majority of the decrease is due to the decreased repayments on reclassified NDRRA borrowings.
Interest-bearing borrowings - Non-current	The decrease of \$29.70 million is largely due to \$55 million of borrowings on the Australian Government Concessional Loan Schemes where QRIDA acts as agent and no longer includes them in the financial statements, and early repayments of \$26.62 million. This is offset by reclassified borrowings of \$14.95 million to Non-interest-bearing borrowings for NDRRA and higher than anticipated borrowings of \$36.96 million from QTC to fund increased PIPES lending.
Non-interest-bearing borrowings Non-current	The majority of the decrease is due to the reclassification of NDRRA borrowings from State to Commonwealth.

Queensland Rural and Industry Development Authority

Notes to the Financial Statements

for the year ended 30 June 2017

Note 21: Budgetary reporting disclosures (continued)

Explanation of major variances - Statement of Cash Flows

Grants	The increase of \$85.8 million is largely due to the Transitional Assistance Payment Scheme (TAPS) of \$60 million and the Industry Hardship Assistance Scheme (IHAS) of \$26.70 million. The TAPS and IHAS schemes were announced in 2016-17 as part of the Taxi and Limousine Industry Assistance Scheme.
Fees	The increase of \$3.06 million is mainly due to the fee for service associated with administration of the 2016-17 Australian Government Concessional Loans Schemes of \$2.05 million together with the TAPS and the IHAS of \$0.79 million which were not approved when the 2016-17 budget was finalised.
Employee expenses	Due to the staged approach to recruitment of additional staff during the year to deliver the PIPES in 2016-17, the level recruited was below that budgeted by \$1.8 million.
Supplies and services	The majority of the decrease of \$2.09 million can be attributed to the replacement of the Compass project which was designed to replace RAPID with the lower cost RAPID Renovation project which will enhance the existing functionality of RAPID. RAPID is the core loans and grants administration system.
Grants and subsidies	The increase of \$85.42 million is largely due to the Transitional Assistance Payment Scheme (TAPS) of \$59.73 million, the Industry Hardship Assistance Scheme (IHAS) of \$18.92 million and the Natural Disaster Relief and Recovery Arrangement (NDRRA) for Tropical Cyclone Debbie of \$4.95 million which were not included in the 2016-17 budget. The TAPS and IHAS schemes were announced in 2016-17 as part of the Taxi and Limousine Industry Assistance Scheme. Tropical Cyclone Debbie occurred in March 2017 activating NDRRA funding.
Finance/borrowing costs	The decrease is largely due to lower than anticipated borrowings on some of the Australian Government Concessional Loan Schemes which have been excluded from reporting due to the agency arrangement.
Loans and advances redeemed	The increase of \$22.7 million is mainly due to higher than anticipated early repayments mainly on Australian Government Concessional Loans Schemes (non agency) of \$17.56 million and NDRRA of \$4.98 million.
Payments for plant and equipment	The 2016-17 budget includes capital expenditure for the Compass project which was replaced with the RAPID Renovation project which has no budgeted capital expenditure.
Loans and advances made	The increase is due to the PIPES program being higher than budgeted by \$43.57 million due to the CBRC decision to increase the annual lending target, offset by lower than budgeted lending on NDRRA by \$5.63 million due to lower than anticipated applications on NDRRA loans.
Interest-bearing and non-interest-bearing borrowings	The \$39.45 million increase is largely due to the borrowings to fund the PIPES program being higher than budgeted by \$41.06 million due to the CBRC decision to increase the annual lending target.
Interest-bearing and non-interest-bearing borrowing redemptions	The increase of \$26.04 million in borrowing redemptions is mainly due to higher than anticipated early repayments mainly on Australian Government Concessional Loans Schemes of \$17.56 million and NDRRA of \$4.98 million and repayments of \$4 million on PIPES borrowings which were not included in the 2016-17 budget.

Queensland Rural and Industry Development Authority

Notes to the Financial Statements

for the year ended 30 June 2017

Section 6 - Other information

Note 22: Key management personnel (KMP) disclosures

22.1 Details of key management personnel

As from 2016-17, the responsible Minister is identified as part of QRIDA's KMP, consistent with additional guidance included in the revised version of AASB 124 *Related Party Disclosures*. That Minister is The Honourable Bill Byrne, Minister for Agriculture and Fisheries and Minister for Rural Economic Development (11 November 2016 – present). The former Minister was The Honourable Leanne Donaldson, Minister for Agriculture and Fisheries (8 December 2015 – 3 November 2016).

The following details for non-Ministerial KMP include those positions that had authority and responsibility for planning, directing and controlling the activities of QRIDA during 2016-17 and 2015-16.

Position	Position Responsibility
Chief Executive Officer	Responsible for leading and managing the affairs of QRIDA including strategically positioning QRIDA to achieve organisational and financial goals and implement Board policy.
General Manager, Program Delivery Services	Delivers financial assistance programs that foster the development of the rural and regional sector that supports the Queensland economy. Delivers programs in response to emergencies and natural disasters and fosters strong relationships with community and industry.
General Manager, Corporate Strategy and Operations	Develops and manages QRIDA's systems, infrastructure and policies in the areas of finance, human resources and information services. Facilitates planning, and performance improvement.

22.2 KMP remuneration policies

Ministerial remuneration entitlements are outlined in the Legislative Assembly of Queensland's Members' Remuneration Handbook. QRIDA does not bear any cost of remuneration of Ministers. The majority of Ministerial entitlements are paid by the Legislative Assembly, with the remaining entitlements being provided by Ministerial Services Branch within the Department of the Premier and Cabinet. As all Ministers are reported as KMP of the Queensland Government, aggregate remuneration expenses for all Ministers is disclosed in the Queensland General Government and Whole of Government Consolidated Financial Statements as from 2016-17, which are published as part of Queensland Treasury's Report on State Finances.

Remuneration policy for QRIDA's other key management personnel is set by QRIDA's Board of Directors as provided under the *Rural and Regional Adjustment Act 1994 (Qld)*.

For the 2016-17 year, remuneration of the General Manager Program Delivery Services, General Manager Corporate Strategy and Operations, increased by 2.5% on previous year's remuneration (2015-16: 2.2%).

Remuneration expenses for non-Ministerial KMP comprise the following components:

- *Short-term employee benefits which include:*
 - salaries, allowances and leave entitlements earned and expensed for the entire year or for that part of the year during which the employee occupied the KMP position.
 - non-monetary benefits – consisting of provision of a vehicle together with fringe benefits tax applicable to the benefit.
- *Performance bonuses* are not paid under the contracts in place.
- *Long-term employee benefits* include amounts expensed in respect of long service leave entitlements earned.
- *Post-employment benefits* include amounts expensed in respect of employer superannuation obligations.
- *Termination benefits* are not provided for within individual contracts of employment. Contracts of employment provide for notice periods or payment in lieu of notice on termination, plus other aspects of termination benefits as required in various circumstances.

Queensland Rural and Industry Development Authority

Notes to the Financial Statements

for the year ended 30 June 2017

Note 22: Key Management Personnel (KMP) disclosures (continued)

The following disclosures focus on the expenses incurred by QRIDA attributable to non-Ministerial KMP during the respective reporting periods. The amounts disclosed are determined on the same basis as expenses recognised in the Statement of Comprehensive Income.

1 July 2016 - 30 June 2017

Position	Short term Employee Benefits		Long Term Employee Benefits	Post-Employment Benefits	Termination Benefits	Total Expenses
	Monetary Expenses	Non-Monetary Benefits				
	\$'000	\$'000	\$'000	\$'000	\$'000	\$'000
Chief Executive Officer	215	31	6	27	-	279
General Manager, Program Delivery Services	159	16	4	23	-	202
General Manager, Corporate Strategy and Operations	143	20	4	19	-	186

1 July 2015 - 30 June 2016

Position	Short Term Employee Benefits		Long Term Employee Benefits	Post Employment Benefits	Termination Benefits	Total Expenses
	Monetary Expenses	Non-Monetary Benefits				
	\$'000	\$'000	\$'000	\$'000	\$'000	\$'000
Chief Executive Officer - Current (from 10 August 2015)	185	13	-	21	-	219
Chief Executive Officer - Former (to 14 August 2015)	34	12	1	5	-	51
General Manager, Program Delivery Services	160	15	5	23	-	202
General Manager, Corporate Strategy and Operations	173	5	5	19	-	202
Project Director - Former (to 15 April 2016)	141	7	4	15	151	319

Note 23: Board members' fees

Remuneration, including meeting fees and superannuation are paid to Board members. QRIDA does not reimburse Board members who are government representatives.

	2017 \$'000	2016 \$'000
Board members' remuneration	112	109
Number of Board members receiving remuneration in the following ranges		
\$1 to \$9,999	-	2
\$10,000 to \$19,999	4	3
\$50,000 to \$59,999	1	1

Queensland Rural and Industry Development Authority

Notes to the Financial Statements

for the year ended 30 June 2017

Note 23: Board members' fees (continued)

The Board members of QRIDA who have served at any point in the financial year are:

Name	Date of joining	Date of leaving	Additional information
Wayne Carlson	3/12/2009	Current	Chair of the Board and Chair of the Remuneration Committee
Dugald Warby	3/06/2014	Current	Chair of the Audit and Risk Management Committee
Georgina Somerset	3/06/2011	2/6/2017	
Elton Miller	20/11/2015	Current	Representative of the Department of Agriculture and Fisheries
Christopher Hood	19/07/2012	2/6/2017	
Belinda Turner	3/12/2015	Current	
Warwick Agnew	3/06/2014	Current	Representative of Queensland Treasury
Leith Bouilly	3/6/2017	Current	
Zoe Kenneally	3/6/2017	Current	

Note 24: Related party transactions

Transactions with other Queensland Government-controlled entities

QRIDA's primary ongoing sources of funding from Government for its services are appropriation revenue which is provided in cash via the Department of Agriculture and Fisheries. The revenue received for 2016-17 was \$11,170,000.

QRIDA has borrowings of \$41,743,737 from QTC, and Note 13 outlines the key terms and conditions of those borrowings.

QRIDA receives car leasing services from QFleet, a commercialised business unit owned by Government. The lease expenses were \$126,629 for 2016-17.

QRIDA provided services to deliver the Transitional Assistance Payments and Industry Hardship Assistance Schemes for the Department of Transport and Main Roads as part of the Industry Adjustment Assistance Package. The fees charged were \$1,262,680 for 2016-17.

Note 25: First year application of new Accounting Standards or change in Accounting Policy

Changes in Accounting Policy

QRIDA did not voluntarily change any of its accounting policies during 2016-17.

Accounting Standards Early Adopted

No Australian Accounting Standards have been early adopted for 2016-17.

Accounting Standards Applied for the First Time

The only Australian Accounting Standard that became effective for the first time in 2016-17 is AASB 124 *Related Party Disclosures*. This standard requires note disclosures about relationships between a parent entity and its controlled entities, key management personnel (KMP) remuneration expenses and other related party transactions, and does not impact on financial statement line items. As Queensland Treasury already required disclosure of KMP remuneration expenses, AASB 124 itself had minimal impact on the authority's KMP disclosures compared to 2015-16 (refer to **Note 22**). However, the standard has resulted in the authority's responsible Minister being identified as part of the authority's KMP as from 2016-17. Material related party transactions for 2016-17 are disclosed in **Note 24**. No comparative information about related party transactions is required in respect of 2015-16.

Note 26: Taxation

QRIDA is a State body as defined under the *Income Tax Assessment Act 1936* (C'wealth) and is exempt from Commonwealth taxation with the exception of *Fringe Benefits Tax* (FBT) and *Goods and Services Tax* (GST). GST credits receivable from, and GST payable to the ATO are recognised within payables and receivables.

Queensland Rural and Industry Development Authority

Notes to the Financial Statements

for the year ended 30 June 2017

Note 27: Transactions and balances where QRIDA is an agent

QRIDA acts as an agent in its management of certain funds on behalf of a number of government agencies. As QRIDA performs only a custodial role in respect of these transactions and balances, they are not recognised in QRIDA's financial statements but are disclosed in these notes for the information of users. This is explained further in **Note 13** under the heading "Additional Disclosures". Revenue relating to fees received by QRIDA for providing agency services are included in Fees in **Note 4**.

Revenue received by QRIDA on behalf of Principals	2017 \$'000	2016 \$'000
Revenues		
Interest earned on loans and advances	1,457	108
Interest earned on cash and investments	1,033	838
Total	2,490	946

Assets held by QRIDA on behalf of Principals	2017 \$'000	2016 \$'000
Current assets		
Cash and cash equivalents	33,870	52,027
Non-current assets		
Loans and advances	87,067	18,162
Total assets	120,937	70,189

Queensland Rural and Industry Development Authority

Management Certificate

for the year ended 30 June 2017

These general purpose financial statements have been prepared pursuant to section 62(1) of the *Financial Accountability Act 2009* (Qld) (the Act), section 43 of the *Financial and Performance Management Standard 2009* and other prescribed requirements. In accordance with section 62(1)(b) of the Act, we certify that in our opinion:

- a. the prescribed requirements for establishing and keeping of accounts have been complied with in all material respects; and
- b. the financial statements have been drawn up to present a true and fair view, in accordance with prescribed accounting standards, of the transactions of QRIDA for the financial year ended 30 June 2017 and of the financial position of QRIDA at the end of that year; and
- c. these assertions are based on an appropriate system of internal controls and risk management processes being effective, in all material respects, with respect to financial reporting throughout the reporting period.

ORIGINAL SIGNED

W S CARLSON

Chair

ORIGINAL SIGNED

D WARBY

Chair – Audit and Risk Management Committee

ORIGINAL SIGNED

C MACMILLAN

Chief Executive Officer

ORIGINAL SIGNED

P WYLLIE

Financial Controller

Dated: 22 August 2017

Independent Auditor's report

To the Board of the Queensland Rural and Industry Development Authority

Report on the audit of the financial report

Opinion

I have audited the accompanying financial report of Queensland Rural and Industry Development Authority. The financial report comprises the statement of financial position as at 30 June 2017, the statement of comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, notes to the financial statements including summaries of significant accounting policies and other explanatory information, and the certificates given by the Chair, the Chair - Audit and Risk Management Committee, Chief Executive Officer and the Financial Controller.

In my opinion, the financial report:

- gives a true and fair view of the entity's financial position as at 30 June 2017, and its financial performance and cash flows for the year ended
- complies with the *Financial Accountability Act 2009*, the Financial and Performance Management Standard 2009 and Australian Accounting Standards.

Basis for opinion

I conducted my audit in accordance with the *Auditor-General of Queensland Auditing Standards*, which incorporate the Australian Auditing Standards. My responsibilities under those standards are further described in the *Auditor's Responsibilities for the Audit of the Financial Report* section of my report.

I am independent of the entity in accordance with the ethical requirements of the Accounting Professional and Ethical Standards Board's APES 110 *Code of Ethics for Professional Accountants* (the Code) that are relevant to my audit of the financial report in Australia. I have also fulfilled my other ethical responsibilities in accordance with the Code and the *Auditor-General of Queensland Auditing Standards*.

I believe that the audit evidence I have obtained is sufficient and appropriate to provide a basis for my opinion.

Other information

Other information comprises the information included in Queensland Rural and Industry Development Authority's annual report for the year ended 30 June 2017, but does not include the financial report and my auditor's report thereon.

The Board is responsible for the other information.

My opinion on the financial report does not cover the other information and accordingly I do not express any form of assurance conclusion thereon.

In connection with my audit of the financial report, my responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial report or my knowledge obtained in the audit or otherwise appears to be materially misstated.

If, based on the work I have performed, I conclude that there is a material misstatement of this other information, I am required to report that fact.

I have nothing to report in this regard.

Responsibilities of the entity for the financial report

The Board is responsible for the preparation of the financial report that gives a true and fair view in accordance with the *Financial Accountability Act 2009*, the Financial and Performance Management Standard 2009 and Australian Accounting Standards, and for such internal control as the Board determines is necessary to enable the preparation of the financial report that is free from material misstatement, whether due to fraud or error.

The Board is also responsible for assessing the entity's ability to continue as a going concern, disclosing, as applicable, matters relating to going concern and using the going concern basis of accounting unless it is intended to abolish the entity or to otherwise cease operations.

Auditor's responsibilities for the audit of the financial report

My objectives are to obtain reasonable assurance about whether the financial report as a whole is free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes my opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with the Australian Auditing Standards will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of this financial report.

As part of an audit in accordance with the Australian Auditing Standards, I exercise professional judgement and maintain professional scepticism throughout the audit. I also:

- Identify and assess the risks of material misstatement of the financial report, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for my opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for expressing an opinion on the effectiveness of the entity's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the Board.
- Conclude on the appropriateness of the Board's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to the events or conditions that may cast significant doubt on the entity's ability to continue as a going concern. If I conclude that a material uncertainty exists, I am required to draw attention in my auditor's report to the related disclosures in the financial report or, if such disclosures are inadequate, to modify my opinion. I base my conclusions on the audit evidence obtained up to the date of my auditor's report. However, future events or conditions may cause the entity to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial report, including the disclosures, and whether the financial report represents the underlying transactions and events in a manner that achieves fair presentation.

I communicate with the Board regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that I identify during my audit.

Report on other legal and regulatory requirements

In accordance with s.40 of the Auditor-General Act 2009, for the year ended 30 June 2017:

- I received all the information and explanations I required.
- In my opinion, the prescribed requirements in relation to the establishment and keeping of accounts were complied with in all material respects.

ORIGINAL SIGNED
P CHRISTENSEN, FCPA
As delegate of the Auditor-General

ORIGINAL STAMPED
Queensland Audit Office
Brisbane

Glossary

A & RM Committee

Audit and Risk Management Committee

This committee consists of three directors who undertake independent reviews to improve QRAA's operations and outputs.

Australian Government Concessional Loans Schemes

Collective reference to the Australian Government funded Farm Finance, Drought and Drought Recovery Concessional Loans Schemes offered in Queensland and the Northern Territory.

Board of Directors

QRAA is governed by a Board of Directors which is formally accountable to the Minister for Agriculture and Fisheries and Minister for Rural Economic Development.

Code of Conduct

The Code of Conduct supports the QRAA Board of Directors and staff to act with integrity and objectivity and to maintain high standards of ethical behaviour in the execution of their duties.

DCLS

Drought Concessional Loans Schemes offered in Queensland and/or the Northern Territory as indicated. These schemes are funded by the Australian Government and delivered by QRAA.

DRCLS

Drought Recovery Concessional Loans Schemes offered in Queensland. These schemes are funded by the Australian Government and delivered by QRAA.

NDRRA

Natural Disaster Relief and Recovery Arrangements. NDRRA is a joint Queensland and Australian Government funded program. QRAA is a long-standing delivery partner of NDRRA loan and grant assistance activated to support disaster affected primary producers, businesses and non-profit organisations.

PIPES

Queensland Government's Primary Industry Productivity Enhancement Scheme. This scheme is comprised of the First Start and Sustainability Loans Schemes.

Productivity Loans

First Start and/or Sustainability Loans offered under the Queensland Government's Primary Industry Productivity Enhancement Scheme.

Program owner

Government agency / departmental representative which has engaged QRAA to deliver specialist financial administrative services on its behalf.

SET

Senior Executive Team. An oversight group consisting of the Chief Executive Officer and the General Manager, Program Delivery Services and General Manager, Corporate Strategy and Operations.

Attachment A - Compliance checklist

Summary of requirement		Basis for requirement	Annual Report reference
Letter of compliance	A letter of compliance from the accountable officer or statutory body to the relevant Minister/s	ARRs – section 7	Page 1
Accessibility	Table of contents	ARRs – section 9.1	Page 2
	Glossary	ARRs – section 9.1	Page 51
	Public availability	ARRs – section 9.2	Page 1
	Interpreter service statement	<i>Queensland Government Language Services Policy</i> ARRs – section 9.3	Page 1
	Copyright notice	<i>Copyright Act 1968 (Qld)</i> ARRs – section 9.4	Page 1
	Information licensing	<i>QGEA – Information Licensing</i> ARRs – section 9.5	N/A
General information	Introductory information	ARRs – section 10.1	Pages 3-5
	Agency role and main functions	ARRs – section 10.2	Page 5
	Operating environment	ARRs – section 10.3	Page 5
Non-financial performance	Government's objectives for the community	ARRs – section 11.1	Page 6
	Other whole-of-government plans / specific initiatives	ARRs – section 11.2	N/A
	Agency objectives and performance indicators	ARRs – section 11.3	Pages 14-15
	Agency service areas, and service standards	ARRs – section 11.4	Pages 16-17
Financial performance	Summary of financial performance	ARRs – section 12.1	From page 18
Governance – management and structure	Organisational structure	ARRs – section 13.1	Page 7
	Executive management	ARRs – section 13.2	Page 7
	Government bodies (statutory bodies and other entities)	ARRs – section 13.3	Page 9
	<i>Public Sector Ethics Act 1994 (Qld)</i>	<i>Public Sector Ethics Act 1994 (Qld)</i> (section 23 and Schedule) ARRs – section 13.4	Page 10
	Queensland public service values	ARRs – section 13.5	N/A
Governance – risk management and accountability	Risk management	ARRs – section 14.1	Page 10
	Audit committee	ARRs – section 14.2	Page 9
	Internal audit	ARRs – section 14.3	Page 10
	External Scrutiny	ARRs – section 14.4	Page 10
	Information systems and recordkeeping	ARRs – section 14.5	Page 11
Governance – human resources	Workforce planning and performance	ARRs – section 15.1	Page 12, 13
	Early retirement, redundancy and retrenchment	Directive No.11/12 <i>Early Retirement, Redundancy and Retrenchment</i> ARRs – section 15.2	N/A

Summary of requirement (continued)		Basis for requirement	Annual Report reference
Open data	Statement advising publication of information	ARRs - section 16	Page 11
	Consultancies	ARRs - section 33.1	Page 11
	Overseas travel	ARRs - section 33.2	Page 11
	Queensland Language Services Policies	ARRs - section 33.3	Page 11
Financial statements	Certification of financial statements	FAA – section 62 FPMS – sections 42, 43 and 50 ARRs – section 17.1	Page 49
	Independent Auditors Report	FAA – section 62 FPMS – section 50 ARRs – section 17.2	Page 50

FAA *Financial Accountability Act 2009* (Qld)

FPMS *Financial and Performance Management Standard 2009* (Qld)

ARRs *Annual report requirements for Queensland Government agencies*

